

GOOGL Premium Execution & Multiple, META More Mixed But Cheap - Q1 Preview

Our proprietary ad survey highlights resilient Q1 demand despite macro noise, w/ spend consolidating toward GOOGL. We see GOOGL as an all-rounder w/ upside to ests in a soft Q1; tougher setup, but stock can grind higher on Cloud acceleration (bogey >50%), AI-driven Search resilience, & YouTube traction. META is set for strongest Q1 growth in 5 yrs on AI-driven ads; shares up just 1% since Q4 & trade ~6x below GOOGL in '27E P/E, skewing r/r favorably. Both Buy.

Our proprietary survey of 20 partners says ad demand holds up amid macro noise & a clear edge for GOOGL. Key takes: **1)** '26 ad spend growth expected to accel to ~8% (vs. ~7% in '25), w/ GOOGL capturing the most incremental budget in 1H26 & leading growth (~8%), followed by AMZN Ads (~6.5%); **2)** 75% of partners met or exceeded F1Q plans (by platform: AMZN 95%, GOOGL 85%, META 75%); **3)** Partners saw 1.8pts of negative macro impact on ad spend & expect ~2.4pts of macro drag in '26; **4)** AI is improving performance, but still nascent (+3pts to ROAS q/q); **5)** GOOGL/META lead in conversion, w/ GOOGL viewed as the primary LT beneficiary of agentic commerce.

GOOGL setup net positive on resilient ads + GCP acceleration. GOOGL navigated geopolitical & capex concerns, w/ the multiple resetting to 17x NTM EV/EBITDA from 19x in Feb '26, but we still see upside into a soft Q1 on stronger AI + Cloud fundamentals. Ad comps are easier (1Q25/4Q24: Gross ad rev +8%/+11%, Search +10%/+13% & YT +10%/+14%), w/ AI helping Search & monetization a longer-tail upside. Ad **checks** solid despite macro-driven pauses, w/ spend actively consolidating into PMax & YT, & YT pricing (increase on Premium subs) provides a Q2 tailwind. We model F1Q Cloud growth at ~49% y/y (vs. St./Bogey at 50%/>50% y/y), but comps ease by ~2pts supporting a better setup ahead. Elevated '26 capex & ongoing capacity constraints should keep NT mgn/FCF pressure in focus, even as stronger Cloud demand supports the LT setup. That said, Cloud **checks** were increasingly pos. on GCP accel & incremental mgns, driven by AI capacity from TPU/networking advantages & share gains vs. Azure among digital natives & ISVs. Gemini API now processes 16B+ tokens/min vs. 10B last Q. Multi-yr TPU commits w/ AVGO support Anthropic & hyperscale workloads, extend RPO visibility beyond FY26, offset 1pt tougher comp, while AI-driven efficiency & RIF efforts create Q1 mgn upside.

Constructive META setup on growth + expense upside. Bulls say: 1) 1Q sets up for fastest growth since 3Q21. 1Q guide of \$53.5B-\$56.5B implies 26%-34% y/y reported growth (22%-30% ex-FX). At the midpt, this would mark META's strongest growth in ~5yrs & reinforces that AI is supporting core ad momentum. St. rev at \$55.5B implies +31% y/y & -7% q/q, toward the better end of META's implied -11% to -6% q/q range & modestly better than typical Q1 seasonality. **2) Risk/reward remains attractive.** META is up just 1% since Q4 earnings vs. AMZN +19% & still trades ~6x below GOOGL at just 20x '27E P/E. **3) Expense upside could help offset macro.** Upcoming reported 5/20 ~10% RIF could help protect mgns & absorb AI investment. Every \$1B of opex reduction adds ~\$0.40 to FY26 EPS. **Bears say: 1) Macro uncertainty can drag on 2Q guide, though cons. already embeds some conservatism.** Ad spend is GDP-linked, & rising macro/geopolitical risk could drive softer 2Q guide & pressure FY26 ests. St. 2Q rev of \$59.5B implies ~7% q/q growth, conservative vs typical Q2 seasonality (+20% in '16, 16% in '17, 11% in '18, & 12% in '19). **2) Expect limited changes to FY26 capex guide.** We see modest potential for a lower capex guide, but believe a material increase is unlikely given tight NT capacity availability.

See 45pg+ deck inside.

KEY STOCKS FEATURED INCLUDE:

TICKER	RATING	PRICE TARGET
GOOGL	BUY	\$400.00
META	BUY	\$1,000.00

Exhibit 1 - GOOGL Preview Table: JEFfe vs. Street

(Mn)	Q1'26E			FY26E		
	JEFfe	Street	% Diff	JEFfe	Street	% Diff
Gross Revs	\$106,108	\$106,957	-0.8%	\$470,662	\$472,170	-0.3%
Y/Y%	17.6%	18.5%		16.8%	17.2%	
Net Rev	\$90,902	\$91,708	-0.9%	\$405,482	\$407,166	-0.4%
Y/Y%	18.8%	19.9%		18.2%	18.7%	
Op. Income	\$35,973	\$36,325	-1.0%	\$161,663	\$159,794	1.2%
Y/Y%	17.5%	18.7%		25.3%	23.8%	
%Op. Mgn (off Net Rev)	39.6%	39.6%		39.9%	39.2%	
EPS (Non-GAAP)	\$2.70	\$2.73	-1.1%	\$11.97	\$11.61	3.1%
Y/Y%	(4.1%)	-3.0%		10.8%	7.4%	
Segmental						
Gross Ad Rev	\$75,839	\$76,104	-0.3%	\$329,060	\$329,453	-0.1%
Y/Y%	13.4%	13.8%		11.7%	11.8%	
Search Revs	\$58,713	\$58,991	-0.5%	\$254,666	\$255,094	-0.2%
Y/Y%	15.8%	16.3%		13.4%	13.6%	
Google Cloud Revs	\$18,267	\$18,359	-0.5%	\$85,557	\$85,742	-0.2%
Y/Y%	49.0%	49.7%		45.8%	46.1%	
YouTube Ad Revs	\$10,088	\$9,969	1.2%	\$45,725	\$45,036	1.5%
Y/Y%	13.0%	11.7%		13.3%	11.6%	
Google Network Revs	\$7,038	\$7,148	-1.5%	\$28,658	\$29,280	-2.1%
Y/Y%	(3.0%)	-1.5%		(3.8%)	-1.7%	

Source: Jefferies, Visible Alpha

Exhibit 2 - META Preview Table: JEFfe vs. Street

(Mn)	Q1'26E			Q2'26E		
	JEFfe	Street	% Diff	JEFfe	Street	% Diff
Total Revenue	\$54,420	\$55,540	-2.0%	\$56,360	\$56,490	-0.2%
Y/Y%	29.6%	32.3%		27.3%	25.2%	
Ad Revenue	\$50,608	\$51,385	-1.5%	\$52,135	\$52,195	-0.1%
Y/Y%	29.6%	32.1%		27.0%	25.0%	
Gross Profit	\$44,682	\$44,440	0.5%	\$46,400	\$47,192	-1.7%
% Margin	82.1%	80.1%		82.3%	83.6%	
Total Expenses	\$9,075	\$9,035	0.4%	\$9,003	\$8,972	0.3%
Y/Y%	46%	46%		47%	45%	
GAAP Op. Income	\$45,710	\$45,402	0.7%	\$47,397	\$47,195	0.4%
% Margin	84.2%	81.6%		84.1%	83.6%	
GAAP EPS	\$6.48	\$6.48	0.0%	\$6.84	\$7.11	-3.9%
Y/Y%	0%	0%		4%	0%	
Capex	\$27,412	\$27,385	0.1%	\$30,200	\$30,891	-2.3%
Y/Y%	112%	111%		83%	81%	
(Mn)	FY26E			FY27E		
	JEFfe	Street	% Diff	JEFfe	Street	% Diff
Total Revenue	\$230,187	\$230,442	-0.1%	\$230,008	\$230,787	-0.3%
Y/Y%	24.9%	24.6%		17.6%	18.0%	
Ad Revenue	\$214,011	\$214,580	-0.3%	\$214,004	\$214,547	-0.3%
Y/Y%	24.4%	24.5%		17.2%	18.4%	
Gross Profit	\$200,069	\$199,222	0.4%	\$200,945	\$200,922	0.0%
% Margin	87.0%	87.0%		87.3%	87.3%	
Total Expenses	\$10,002	\$10,760	-0.9%	\$10,000	\$10,044	-0.4%
Y/Y%	42%	42%		42%	42%	
GAAP Op. Income	\$84,685	\$84,769	-0.1%	\$84,688	\$84,648	0.0%
% Margin	33.9%	34.0%		33.9%	34.2%	
GAAP EPS	\$28.91	\$28.96	-0.2%	\$28.96	\$28.98	-0.1%
Y/Y%	23%	26%		27%	16%	
Capex	\$125,063	\$125,362	-0.2%	\$136,067	\$145,190	-6.3%
Y/Y%	79%	79.7%		9%	11%	

Source: Jefferies, Visible Alpha

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Summary of Changes

Company	Rating	Price^	Price Target	Rev. (MM)Estimates			P/Rev. (MM)		
				2024	2025	2026	2024	2025	2026
Alphabet, Inc GOOGL	BUY	\$344.40	\$400.00	\$295,118.0	\$342,910.0	\$405,481.9	14.0x	12.0x	10.2x
Previous				\$295,118.0	\$342,910.0	\$401,788.4	<1%		
Meta Platforms META	BUY	\$675.03	\$1,000.00	\$164,500.0	\$200,965.0	\$250,167.0	10.3x	8.4x	6.8x

^Prior trading day's closing price unless otherwise noted.
Price: After hours price

Q1 Preview: GOOGL Premium Execution & Multiple, META More Mixed But Cheap

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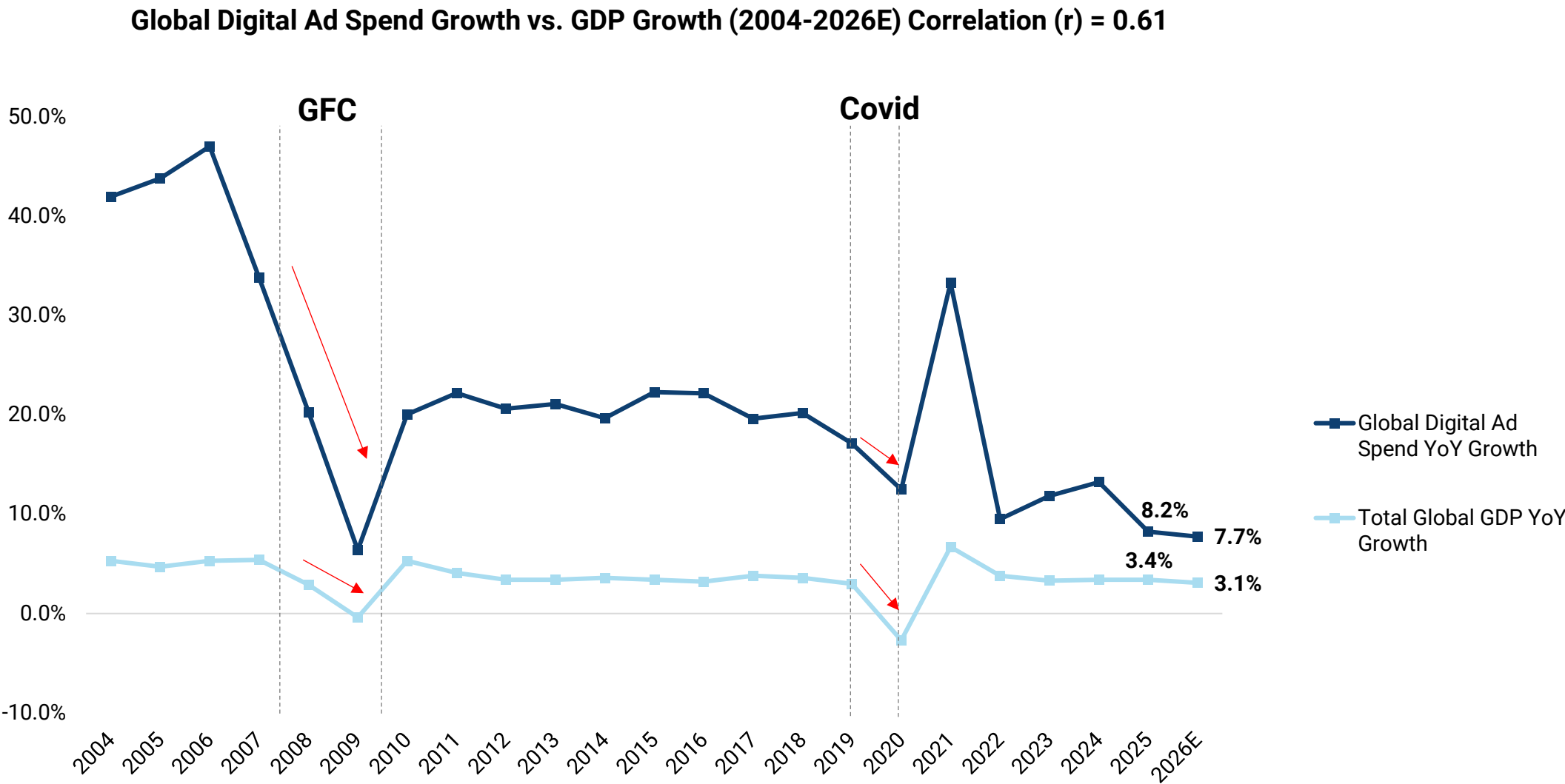
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APRIL 2026

SECTION I

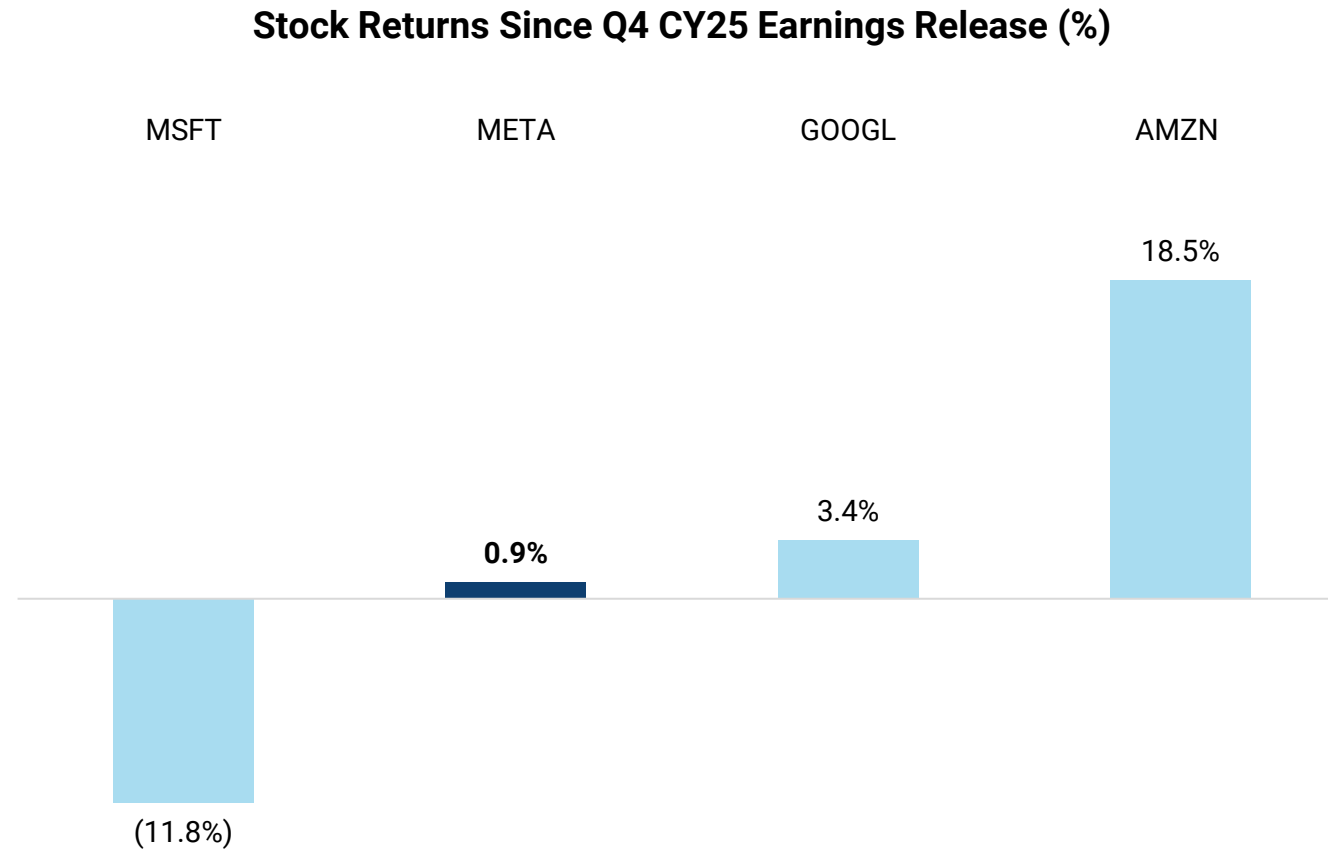
The Ad & AI Setup Before 1Q26 + Preview Tables

Ad Spend Correlates with GDP, Raising Downside Risk in a Recession



Sources: Jefferies, IMF, Magna Global Ad Spend Data

META Lags GOOGL/AMZN Following Q4 CY25 Earnings

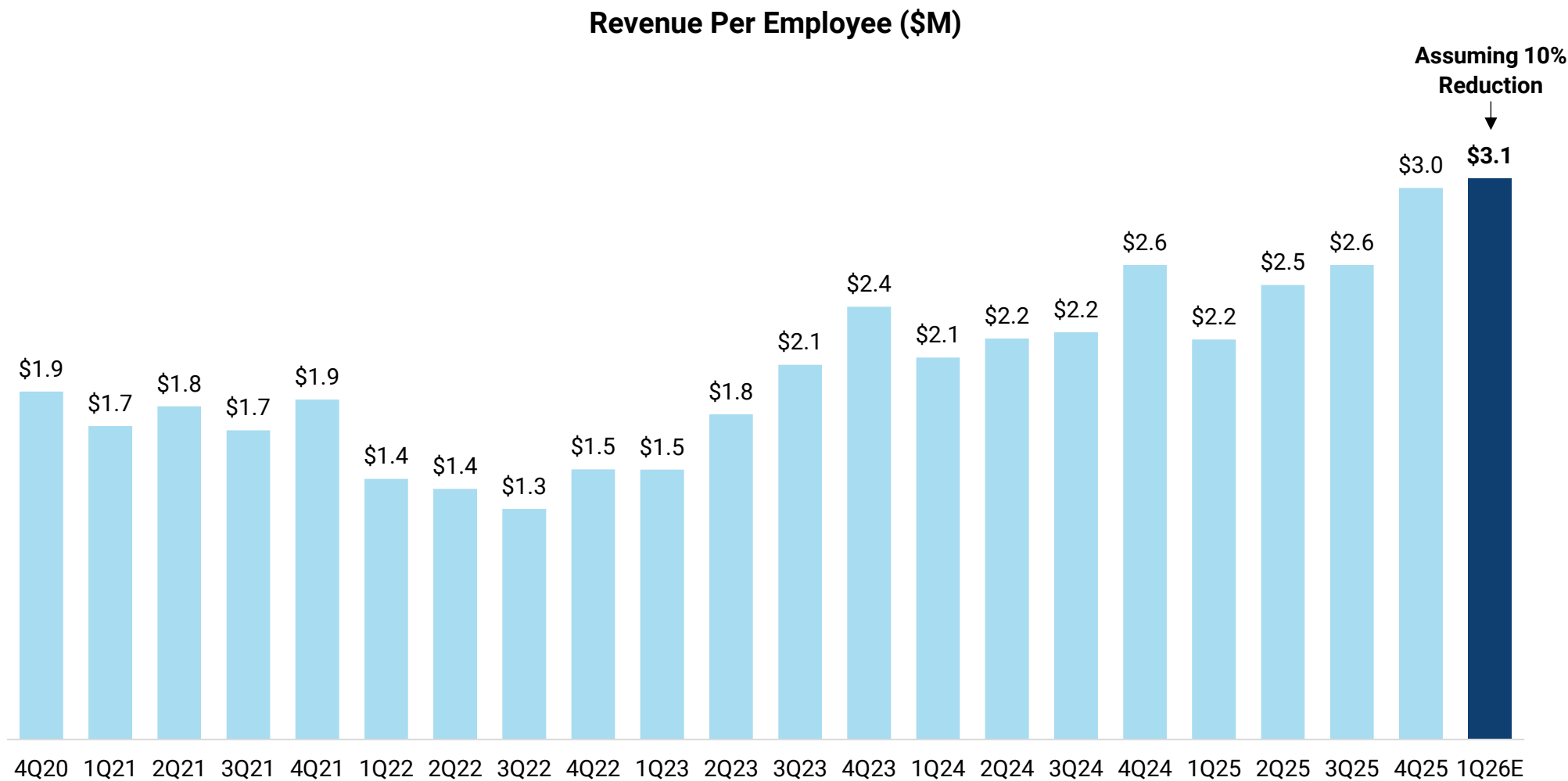


But Potential Layoffs Could Provide Upside to 2026 EPS Estimates

Every \$1B reduction in operating expenses adds ~\$0.40 to FY26 EPS.

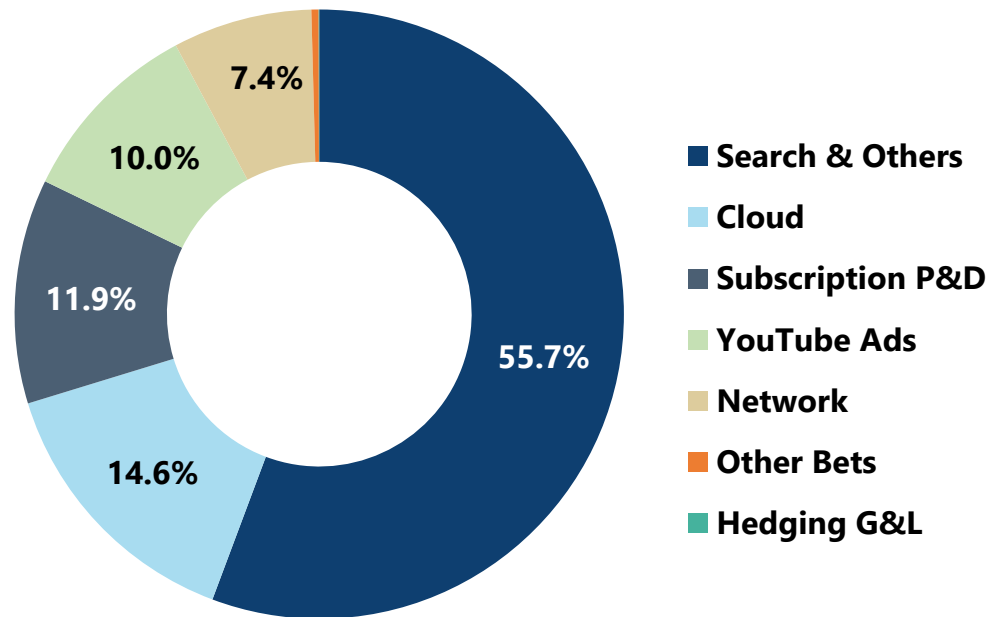
<u>2026 Total Expense Delta vs. JEF Base Case (\$M)</u>	<u>2026 EPS</u>	<u>Upside/Downside to Base Case</u>	<u>% Upside or Downside</u>
\$0	\$28.9	\$0.0	0.0%
-\$1,000	\$29.3	\$0.4	1.3%
-\$2,000	\$29.7	\$0.8	2.7%
-\$3,000	\$30.1	\$1.2	4.0%
-\$4,000	\$30.5	\$1.6	5.4%
-\$5,000	\$30.9	\$1.9	6.7%

... And Improve Productivity Metrics

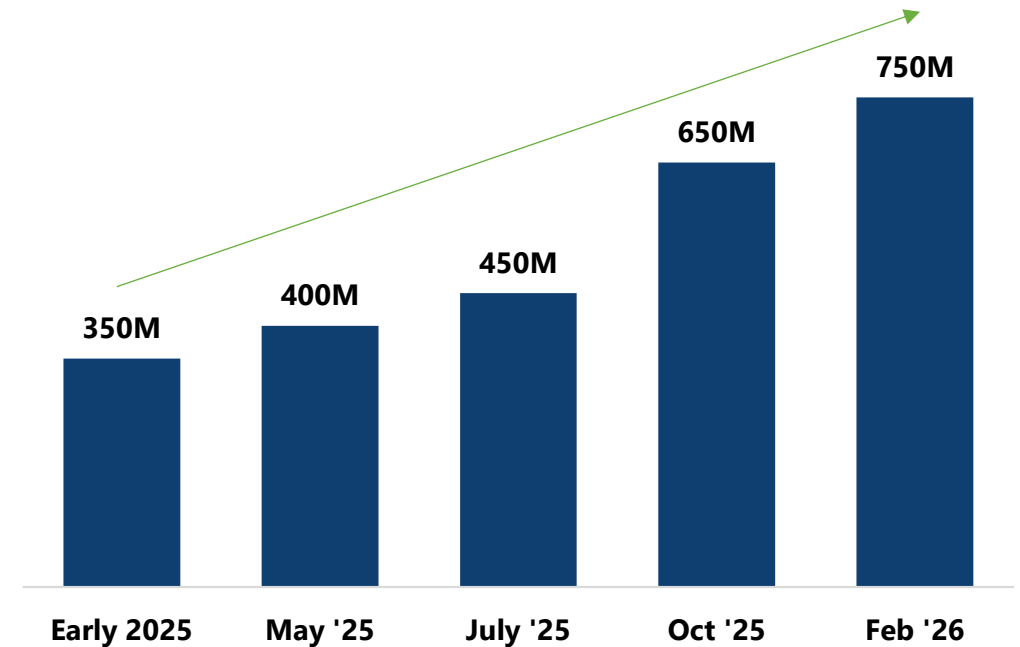


A More Diversified Revenue Mix Underpins GOOGL's Durability

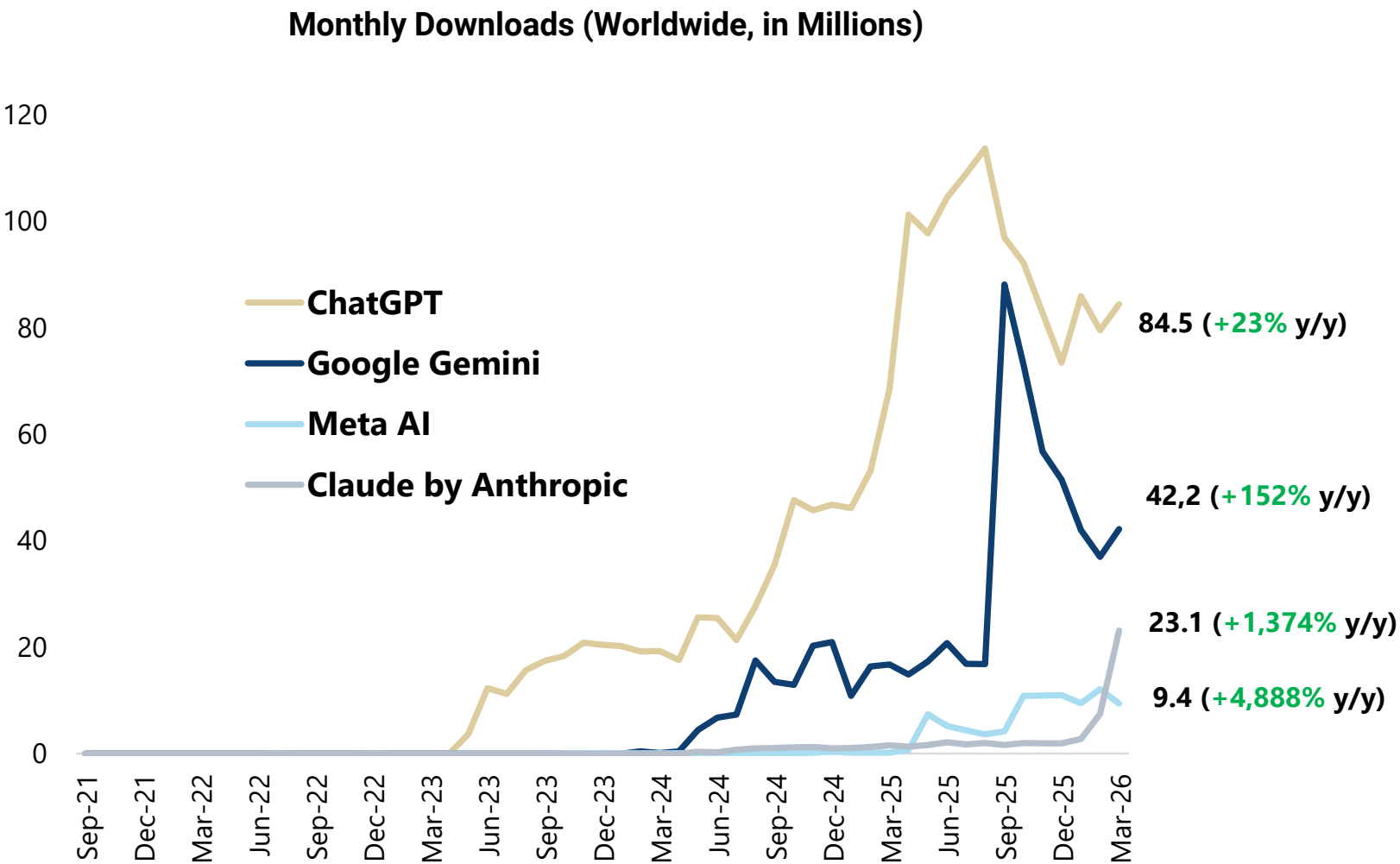
FY25 GOOGL Revenue Mix



Gemini MAU Progression



Acceleration Across AI Assistants, with Claude Pulling Ahead



GOOGL Preview Tables

(\$MM)							(\$MM)						
Q1'26E							Q2'26E						
	JEFē	Street	% Diff	JEFē	Street	% Diff		JEFē	Street	% Diff	JEFē	Street	% Diff
Gross Revs	\$106,108	\$106,957	-0.8%	\$113,070	\$113,838	-0.7%	Gross Revs	\$470,662	\$472,170	-0.3%	\$541,959	\$544,287	-0.4%
Y/Y%	17.6%	18.5%		17.3%	18.1%		Y/Y%	16.8%	17.2%		15.1%	15.3%	
Net Rev	\$90,902	\$91,708	-0.9%	\$97,101	\$97,838	-0.8%	Net Rev	\$405,482	\$407,166	-0.4%	\$470,996	\$474,777	-0.8%
Y/Y%	18.8%	19.9%		18.8%	19.7%		Y/Y%	18.2%	18.7%		16.2%	16.6%	
Op. Income	\$35,973	\$36,325	-1.0%	\$38,690	\$38,558	0.3%	Op. Income	\$161,663	\$159,794	1.2%	\$188,843	\$187,427	0.8%
Y/Y%	17.5%	18.7%		23.7%	23.3%		Y/Y%	25.3%	23.8%		16.8%	17.3%	
%Op. Mgn (off Net Rev)	39.6%	39.6%		39.8%	39.4%		%Op. Mgn (off Net Rev)	39.9%	39.2%		40.1%	39.5%	
EPS (Non- GAAP)	\$2.70	\$2.73	-1.1%	\$2.88	\$2.77	4.0%	EPS (Non- GAAP)	\$11.97	\$11.61	3.1%	\$13.77	\$13.44	2.4%
Y/Y%	(4.1%)	-3.0%		24.5%	19.8%		Y/Y%	10.8%	7.4%		15.0%	15.7%	
<u>Segments</u>							<u>Segments</u>						
Gross Ad Rev	\$75,839	\$76,104	-0.3%	\$80,191	\$80,258	-0.1%	Gross Ad Rev	\$329,060	\$329,453	-0.1%	\$363,091	\$362,241	0.2%
Y/Y%	13.4%	13.8%		12.4%	12.5%		Y/Y%	11.7%	11.8%		10.3%	10.0%	
Search Revs	\$58,713	\$58,991	-0.5%	\$61,939	\$62,204	-0.4%	Search Revs	\$254,666	\$255,094	-0.2%	\$283,660	\$283,252	0.1%
Y/Y%	15.8%	16.3%		14.3%	14.8%		Y/Y%	13.4%	13.6%		11.4%	11.0%	
Google Cloud Revs	\$18,267	\$18,359	-0.5%	\$19,891	\$20,282	-1.9%	Google Cloud Revs	\$85,597	\$85,742	-0.2%	\$116,156	\$117,296	-1.0%
Y/Y%	49.0%	49.7%		46.0%	48.9%		Y/Y%	45.8%	46.1%		35.7%	36.8%	
YouTube Ad Revs	\$10,088	\$9,969	1.2%	\$11,118	\$10,838	2.6%	YouTube Ad Revs	\$45,725	\$45,036	1.5%	\$51,198	\$49,972	2.5%
Y/Y%	13.0%	11.7%		13.5%	10.6%		Y/Y%	13.3%	11.6%		12.0%	11.0%	
Google Network Revs	\$7,038	\$7,148	-1.5%	\$7,133	\$7,216	-1.1%	Google Network Revs	\$28,668	\$29,280	-2.1%	\$28,232	\$28,883	-2.3%
Y/Y%	(3.0%)	-1.5%		(3.0%)	-1.9%		Y/Y%	(3.8%)	-1.7%		(1.5%)	-1.4%	

META Preview Tables

(\$Millions)		Q1 '26E			Q2 '26E		
	JEFē	Street	% Diff	JEFē	Street	% Diff	
Total Revenue	\$54,825	\$55,545	-1.3%	\$60,399	\$59,485	1.5%	
Y/Y%	29.6%	31.3%		27.1%	25.2%		
Ad Revenue	\$53,603	\$54,285	-1.3%	\$59,135	\$58,195	1.6%	
Y/Y%	29.5%	31.1%		27.0%	25.0%		
Gross Profit	\$44,682	\$44,440	0.5%	\$49,406	\$47,192	4.7%	
%Margin	82%	80%		82%	79%		
Total expenses	\$36,075	\$36,135	-0.2%	\$39,803	\$38,712	2.8%	
Y/Y%	46%	46%		47%	43%		
GAAP Op. Income	\$18,750	\$19,432	-3.5%	\$20,596	\$20,786	-0.9%	
% Margin	34.2%	35.0%		34.1%	34.9%		
GAAP EPS	\$6.43	\$6.68	-3.7%	\$6.84	\$7.11	-3.8%	
Y/Y%	0%	4%		-4%	0%		
Capex	\$27,412	\$27,253	0.6%	\$30,200	\$29,891	1.0%	
Y/Y%	112%	111%		83%	81%		

(\$Millions)		FY26E			FY27E		
	JEFē	Street	% Diff	JEFē	Street	% Diff	
Total Revenue	\$250,167	\$250,442	-0.1%	\$294,086	\$296,797	-0.9%	
Y/Y%	24.5%	24.6%		17.6%	18.5%		
Ad Revenue	\$243,951	\$244,180	-0.1%	\$285,904	\$289,147	-1.1%	
Y/Y%	24.4%	24.5%		17.2%	18.4%		
Gross Profit	\$203,893	\$198,222	2.9%	\$236,345	\$230,922	2.3%	
%Margin	82%	79%		80%	78%		
Total expenses	\$165,302	\$163,765	0.9%	\$185,200	\$195,341	-5.2%	
Y/Y%	40%	39.2%		12%	19%		
GAAP Op. Income	\$84,865	\$86,769	-2.2%	\$108,886	\$101,454	7.3%	
% Margin	33.9%	34.6%		37.0%	34.2%		
GAAP EPS	\$28.91	\$29.66	-2.5%	\$36.85	\$34.38	7.2%	
Y/Y%	23%	26%		27%	16%		
Capex	\$125,083	\$125,262	-0.1%	\$136,557	\$141,180	-3.3%	
Y/Y%	79%	79.7%		9%	13%		

SECTION II

Advertising Partner Survey

Resilient Ad Demand Despite Macro Headwinds, Favoring GOOGL

1

Partners expect accelerating ad spend in 2026, and Google remains the highest grower

- Partners expect 2026 ad spend growth to accelerate on a weighted average basis to 7.5% from 6.6% in 2025
- GOOGL is expected to capture the highest incremental budget in 1H26 vs. 2H25, & grow the fastest in 2026 (7.9%), followed by Amazon Ads (6.5%).

2

75% of partners have either met or exceeded plans in F1Q

- 30% were at plan, 45% came above expectations, while 25% fell below plan
- By platform, 93% of partners have met or exceeded their planned ad spend on AMZN (most improved vs. F4Q), 85% for GOOGL, and 75% for META

3

Macro overhang increased modestly; Recent social media court ruling not expected to impact near-term advertising spend

- In aggregate, partners cited ~1.8pts of negative macro impact on their F1Q digital ad spend and expects 2.4pts of drag for 2026 overall
- 85% of partners are maintaining current spending or indicate it is too early to assess the impact of recent court rulings related to Meta & YouTube

4

AI delivered better ROAS this quarter, but adoption is still nascent

- AI contributed to a weighted ~2.6 pts of RoAS growth in F1Q vs. ~1.9 pts noted in F4Q
- While most partners do not track AI tool performance, ChatGPT accounts for the highest traffic & AI Overview generates the highest conversion rates

5

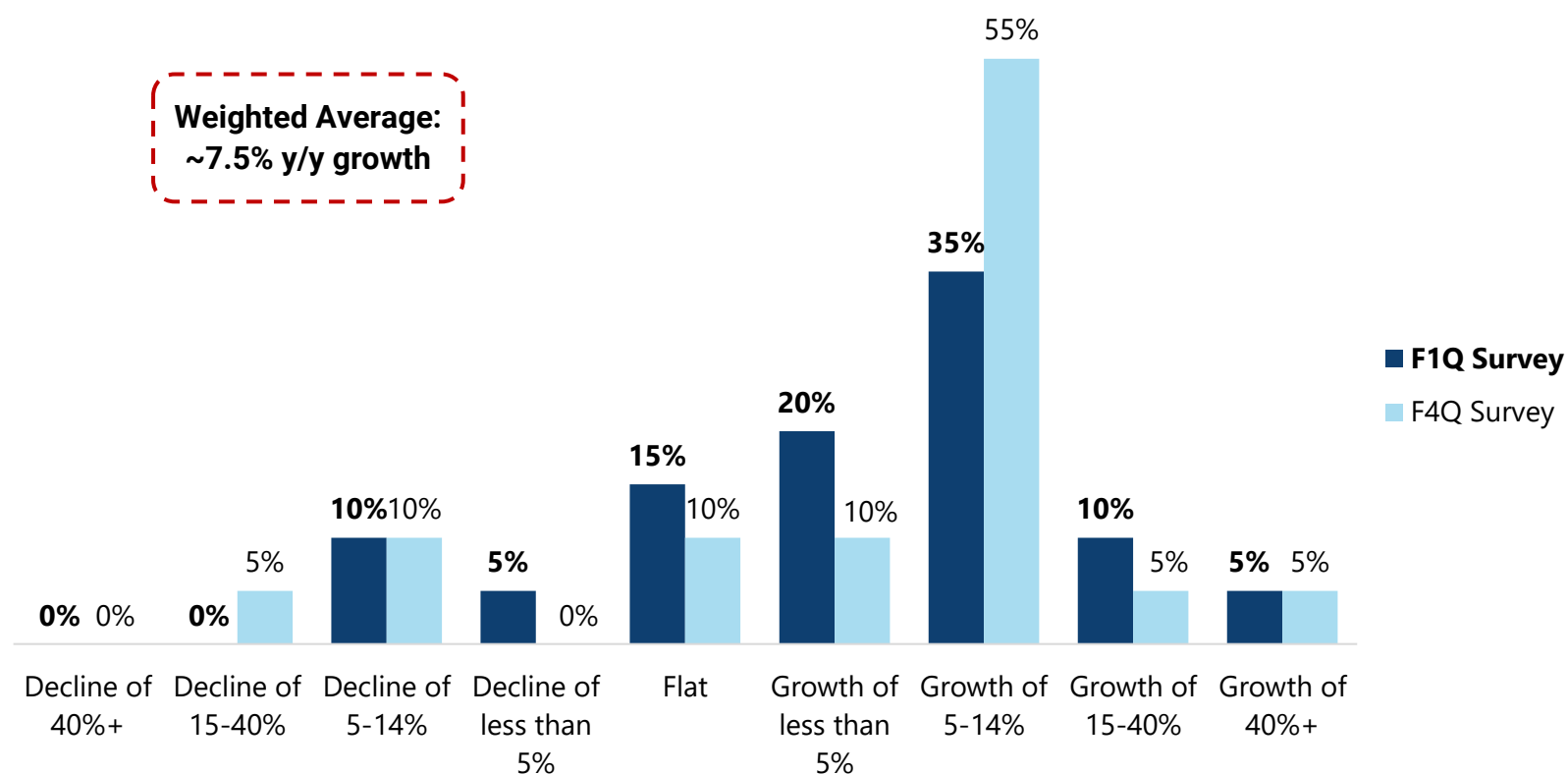
GOOGL/META delivered the best conversion performance

- 35% of partners each cited Google & Meta for the strongest y/y conversions in F1Q; TikTok saw the most pricing pressure in F1Q vs. GOOGL in F4Q
- 40% of partners noted >5% CPC inflation in F1Q y/y (vs. 60% of partners in F4Q) post holiday season
- While agentic commerce is still early, advertisers believe GOOGL will be the main beneficiary over time

Partners Expect a Modest Acceleration in Overall Ad Budget in '26...

On a weighted-average basis, partners expect ad spend growth of 7.5% in 2026. Notably, this implies a ~1pt acceleration vs. an expected deceleration based on our Q4 survey results.

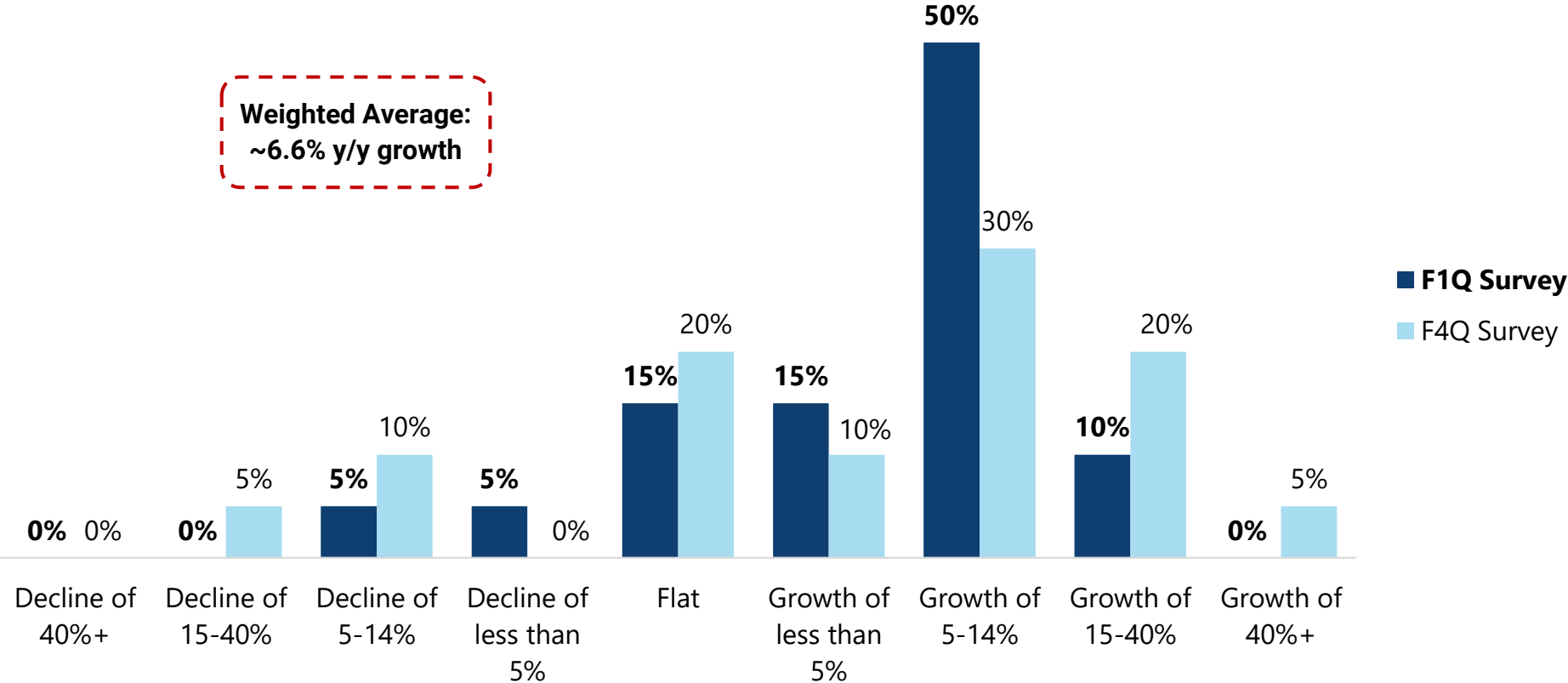
What are your growth expectations for your overall ad budget in 2026?



...After Healthy Ad Spend Growth in '25

On a weighted-average basis, partners reported ad spend growth of 6.6% in 2025 vs. 8.1% in our Q4 survey cohort.

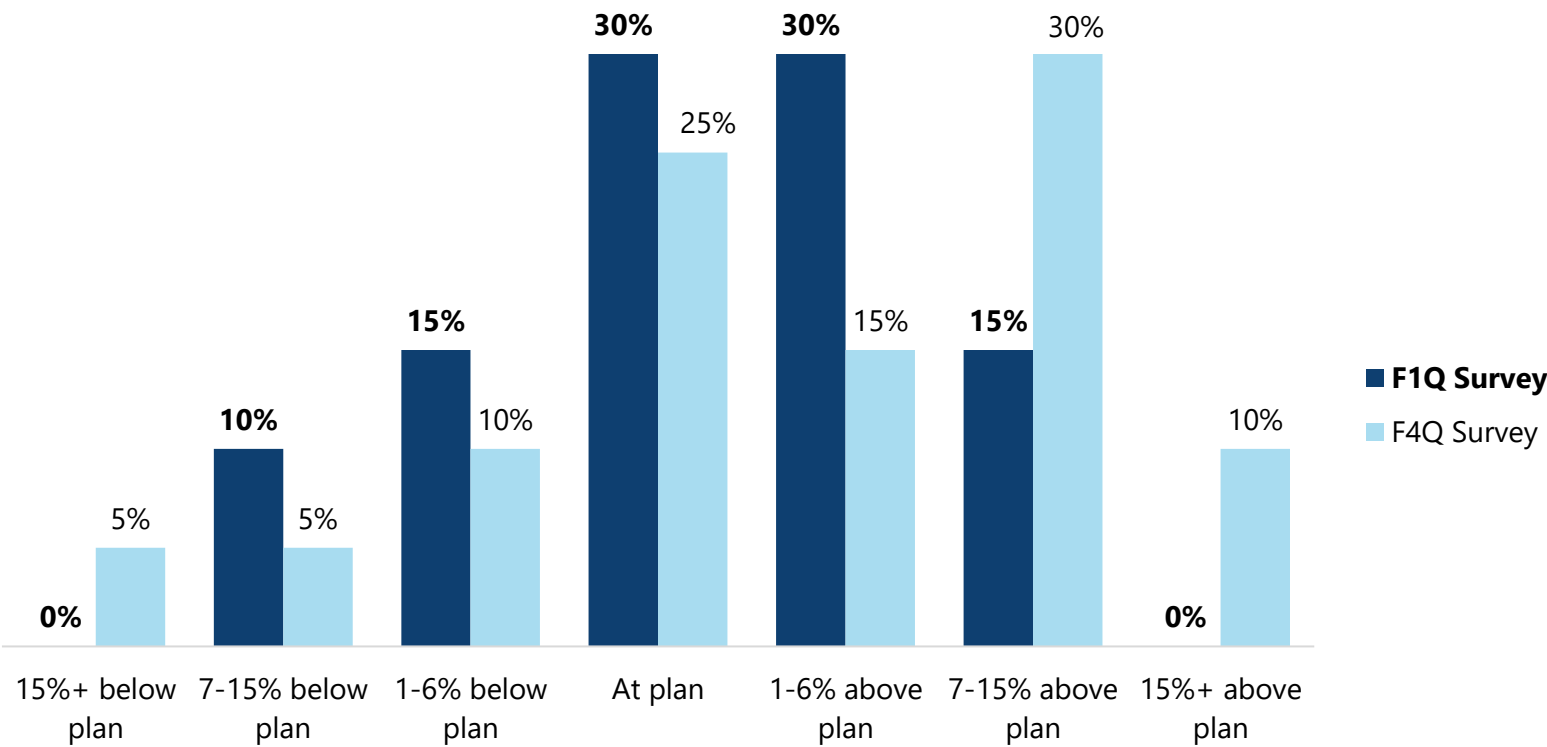
What did your overall digital ad spend grow in 2025?



75% of Partners Met or Exceeded Their Plan in 1Q26

45% of partners exceeded their internal forecast for 1Q26, down from 55% in the previous quarter. 25% of respondents were below their plan in 1Q26, up from the 20% below their plan in 4Q25.

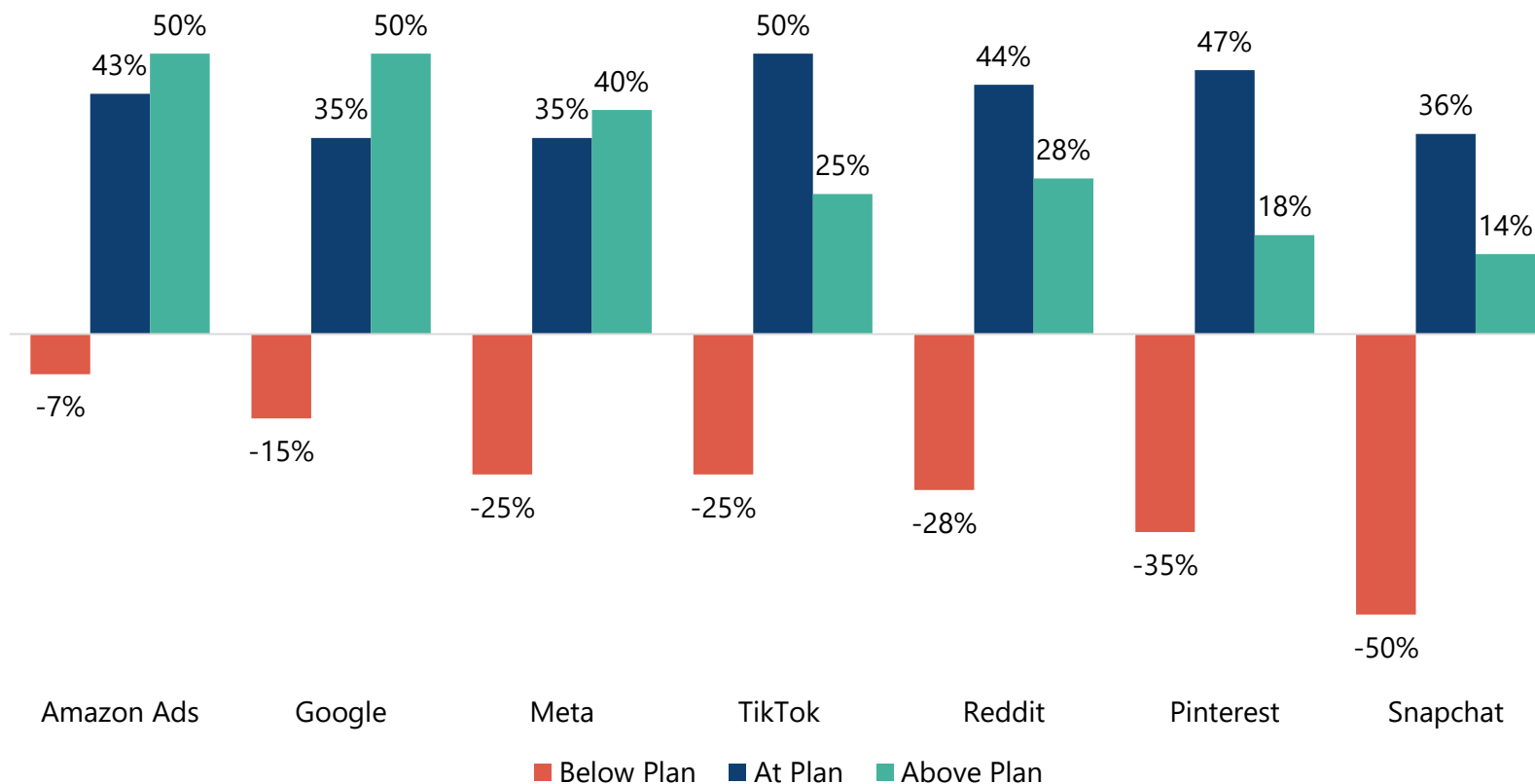
How was overall digital ad spend compared to your internal forecast this quarter?



AMZN and GOOGL Stand Out on Ad Spend vs. Plan

While respondent sizes varied, we note that AMZN saw the most improvement in ad spend this quarter vs. expectations. GOOGL/META remain relatively consistent with 85%/75% of partners, vs. 80%/85% in Q4, noted at or exceeded plan .

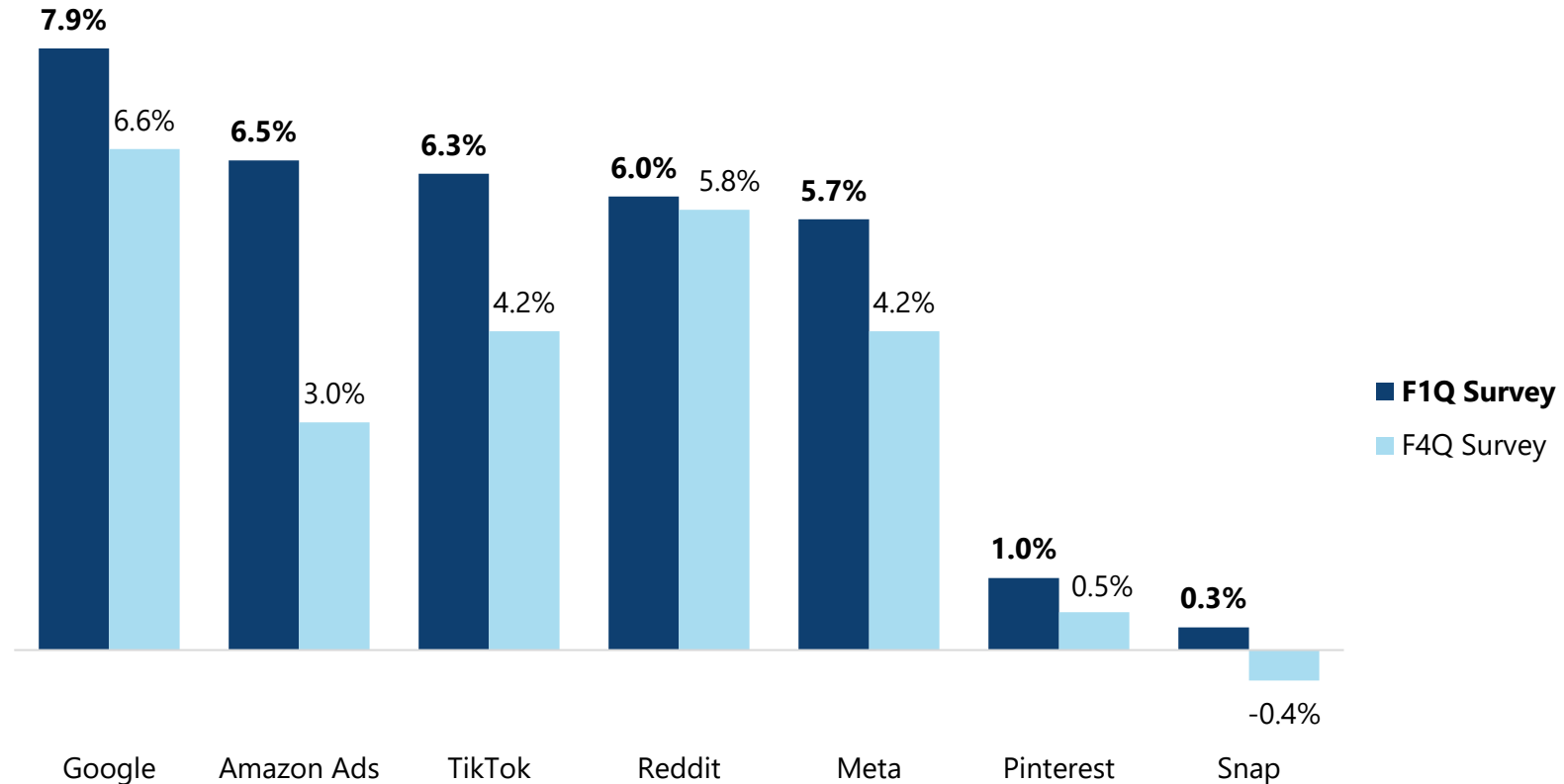
Over the last 3 months, how was your advertising spend vs. forecast by channel?



Note: META/GOOGL (N=20), RDDT (N=18), PINS (N=17), TikTok (N=16), AMZN/SNAP (N=14)
Note: For precise breakdown, please refer to supplemental charts

Partners Continue to Expect Their GOOGL Spend to Grow the Fastest

What are your growth expectations for ad spend in 2026 by channel?

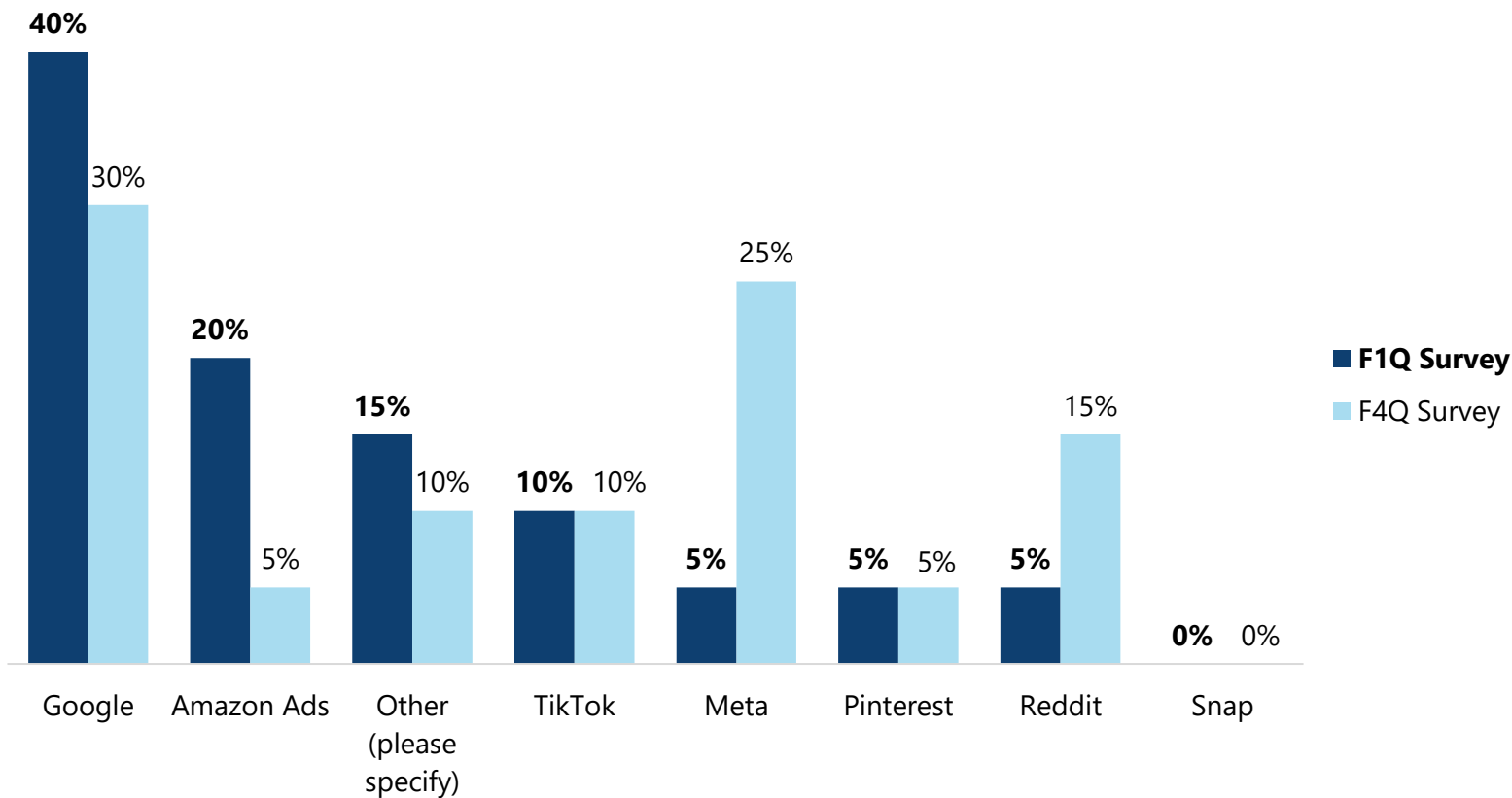


Note: Excluding partners starting/removing advertising spend on a channel

...While Capturing the Largest Ad Budget in 1H26 vs. 2H25

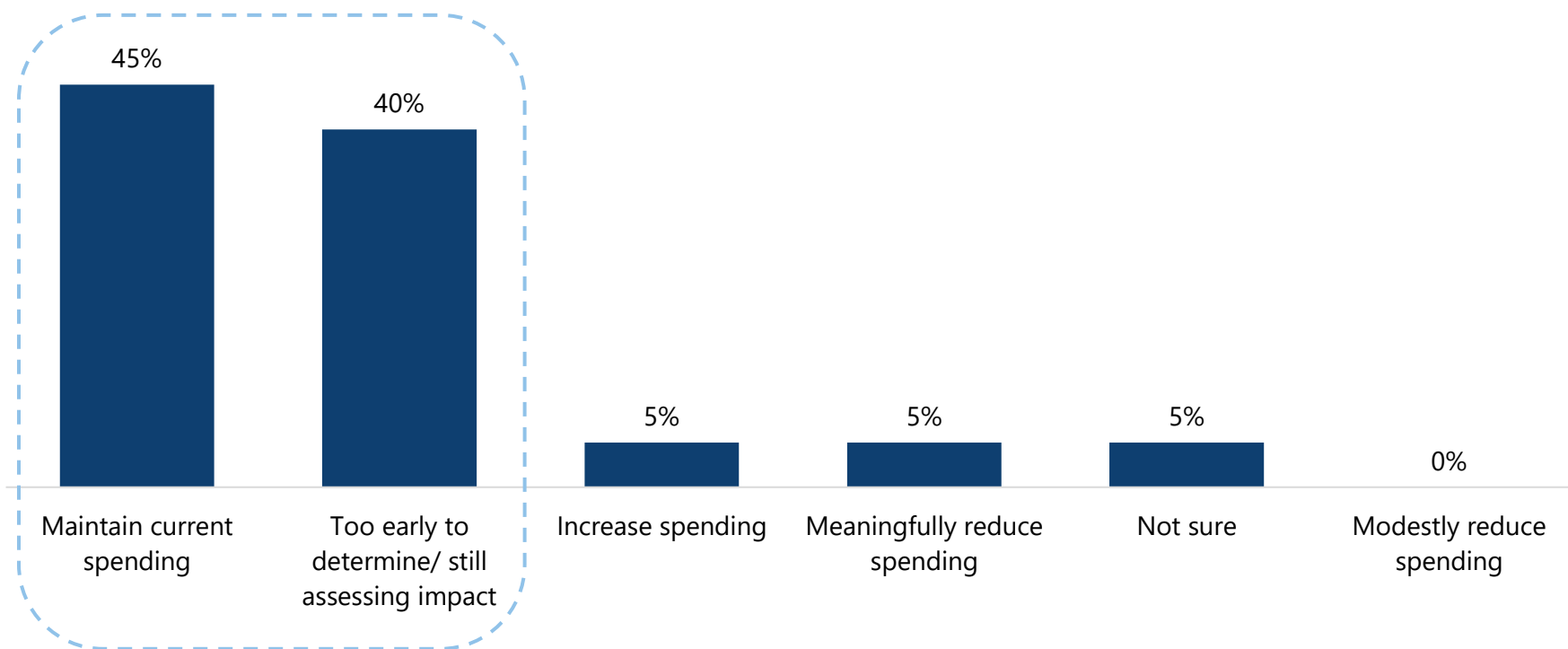
When selecting platforms to receive incremental budget, partners cited superior ROAS (35%) as the primary driver, followed by improved format mix (20%) and better measurement attribution (20%).

Which platform will capture the largest incremental ad budget in first half of 2026 vs. second half of 2025?



Most Partner Spend Unaffected by META/GOOGL Lawsuits

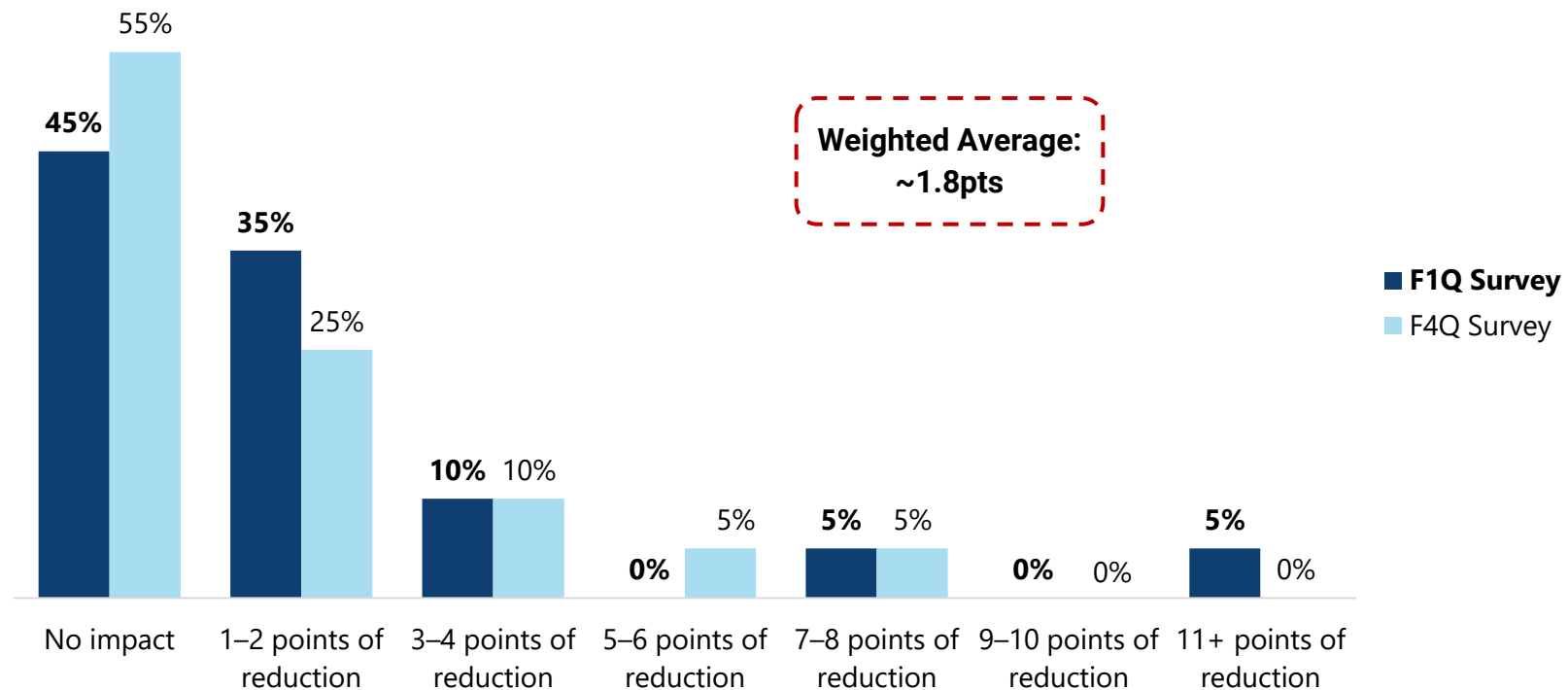
Based on the recent court rulings related to Meta and YouTube, how do you expect to change your advertising budget decisions for these platforms?



Partners Observed Slightly Greater Macro Impact on 1Q26 Ad Spend

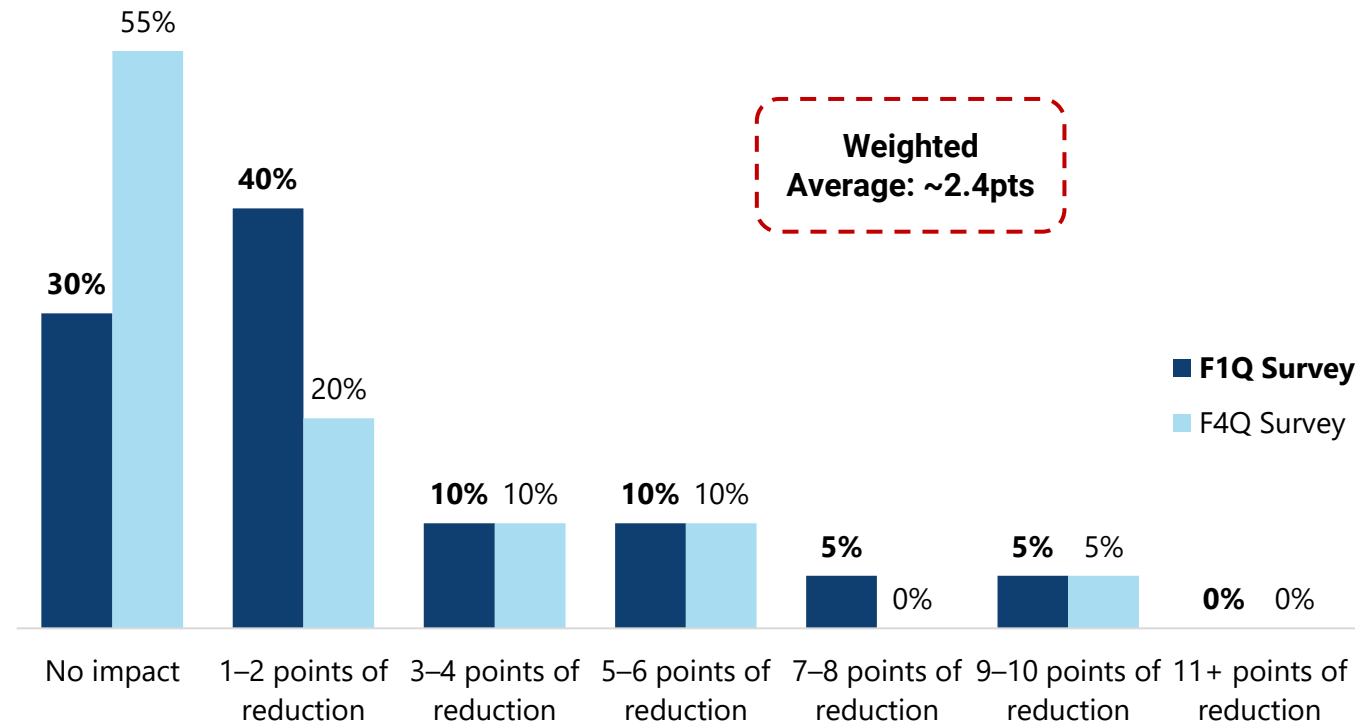
Only 45% of partners noted no impact from macro/tariff concerns in F1Q vs. 55% in F4Q. 45% of partners between 1-4pts of negative impact vs. 35% in F4Q, and 5% expect 11 or more pts of impact vs. 0% in F4Q's survey cohort.

To what extent do you believe macro factors (geopolitical tensions / tariff concerns) have negatively impact your quarter's digital ad spend vs. plan?



...And Are Bracing for Intensified Macro Impact in '26

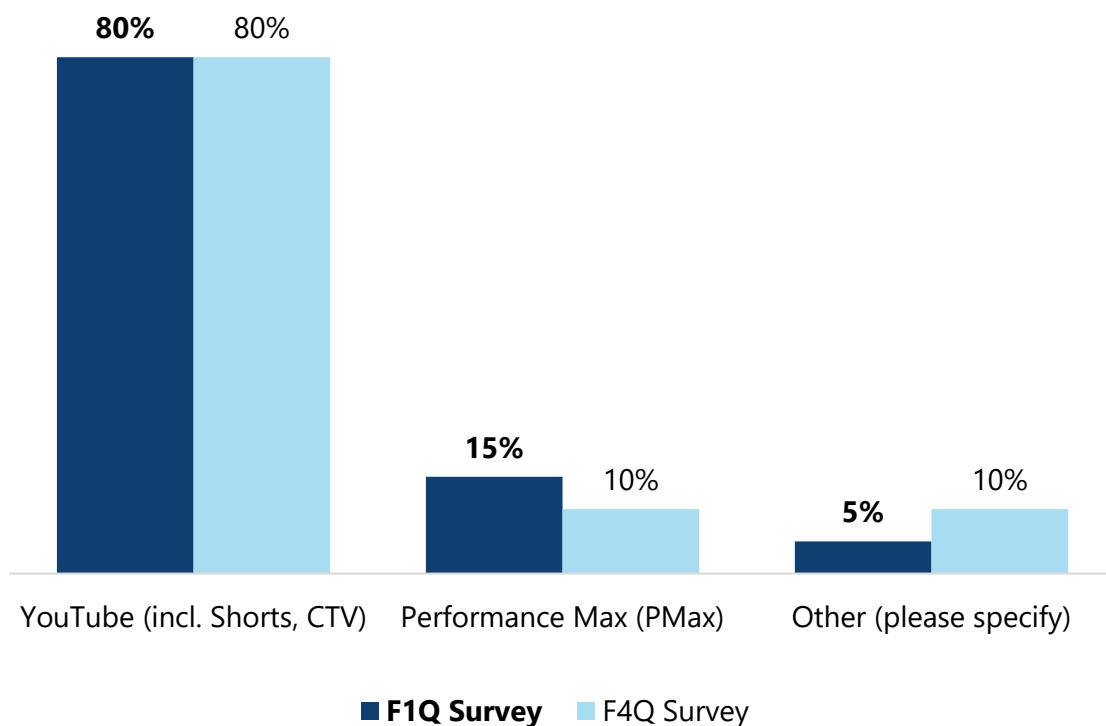
What is your expected macro (geopolitical tensions / tariff concern) impact on 2026 growth for your portfolio?



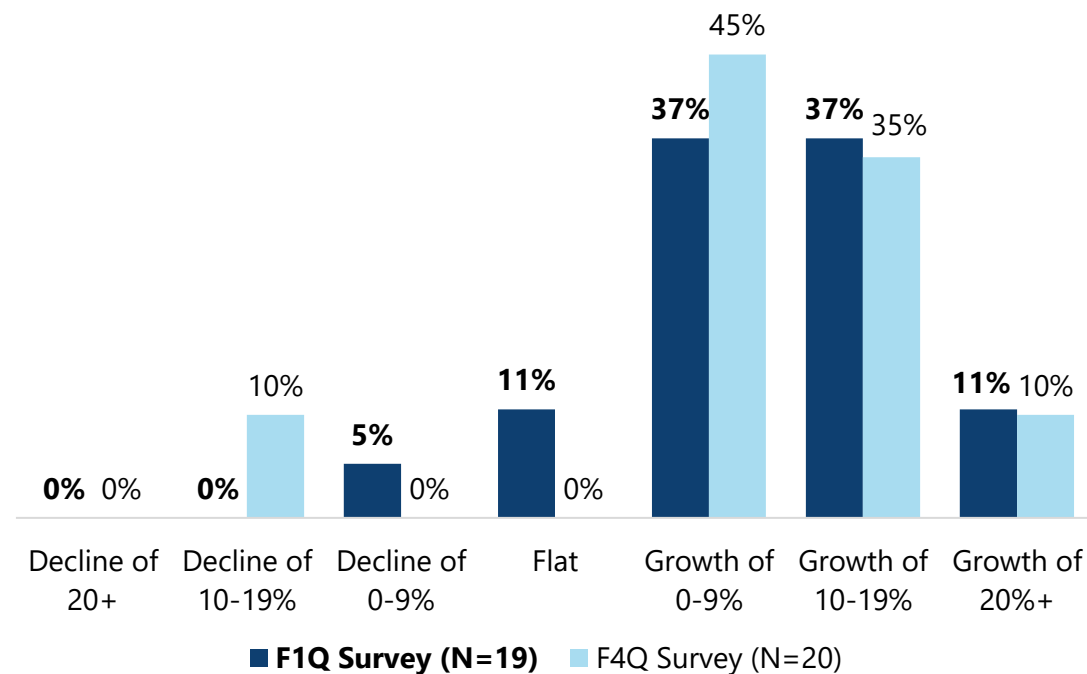
YouTube Continues to be GOOGL's Fastest-Growing Channel

Most partners are allocating spend in YouTube and saw a weighted-average growth of ~9% y/y vs. ~8% in F4Q survey cohort. Excluding partners who started/stopped advertising, 37% of partners reported SD% growth and 47% cited DD% growth.

Which platform is growing the fastest within your Google Ad budget today?



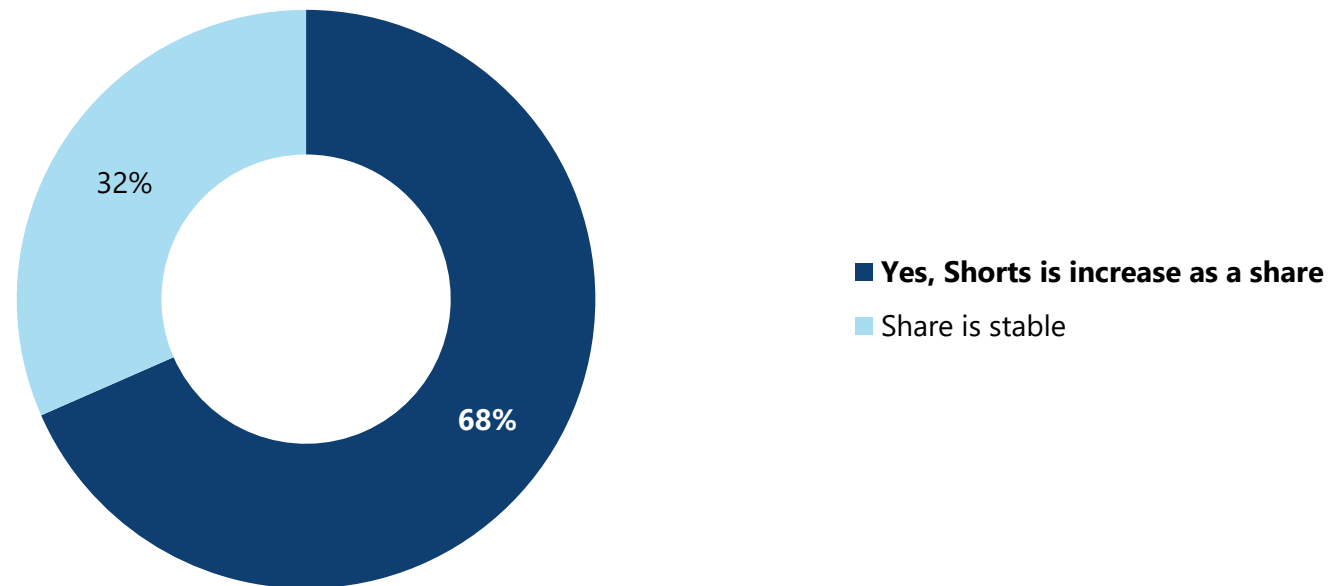
How would you characterize the spending growth on YouTube in this quarter on a y/y basis?



68% of Partners Noted YT Shorts Increasing Within YouTube Budgets

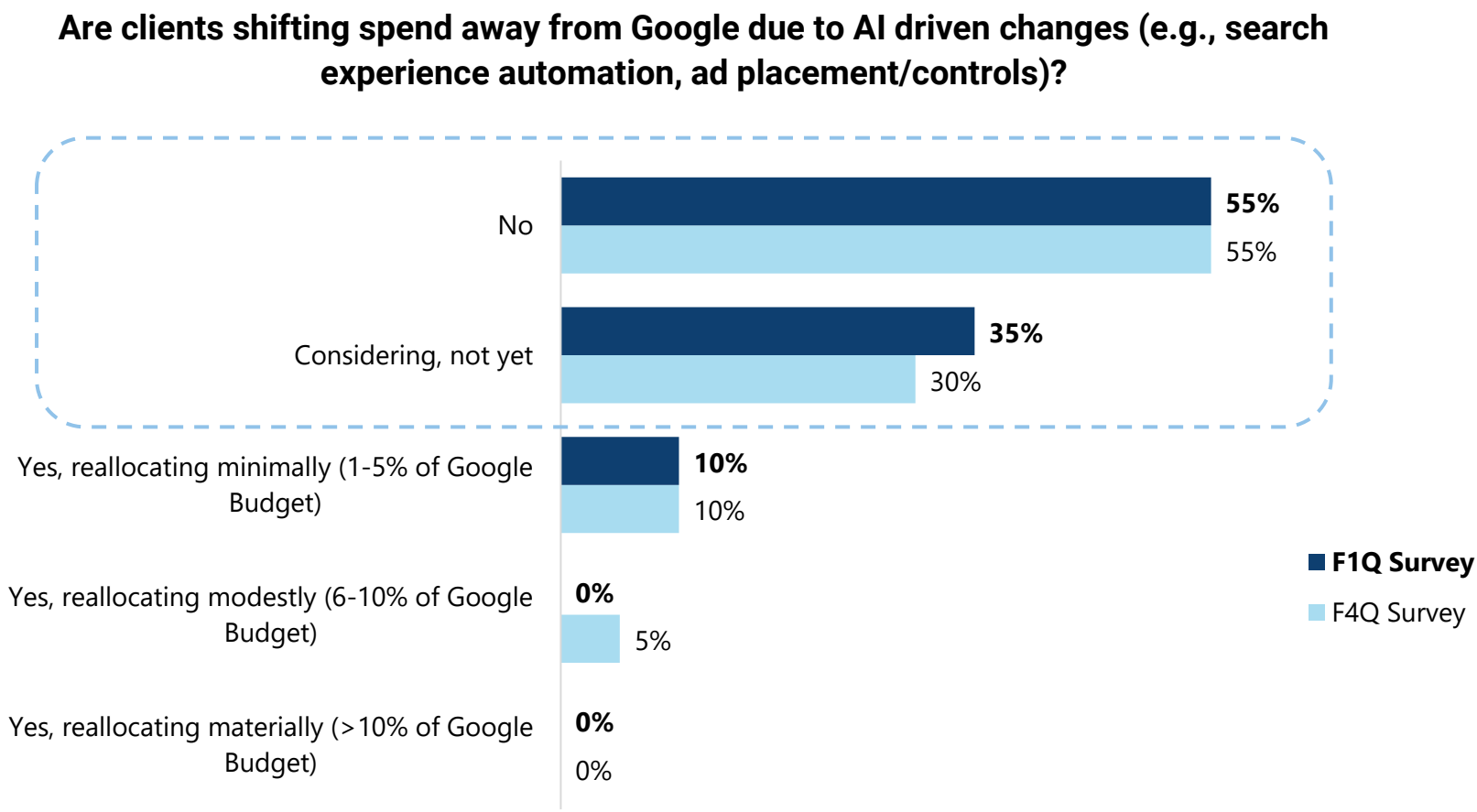
The majority of partners cited Shorts to grow with a faster moat vs. traditional long-form videos.

Is YouTube Shorts becoming a larger share of your YouTube ad spend compared with traditional YouTube placements?



90% of Partners Have Not Shifted Budgets Away From GOOGL due to AI

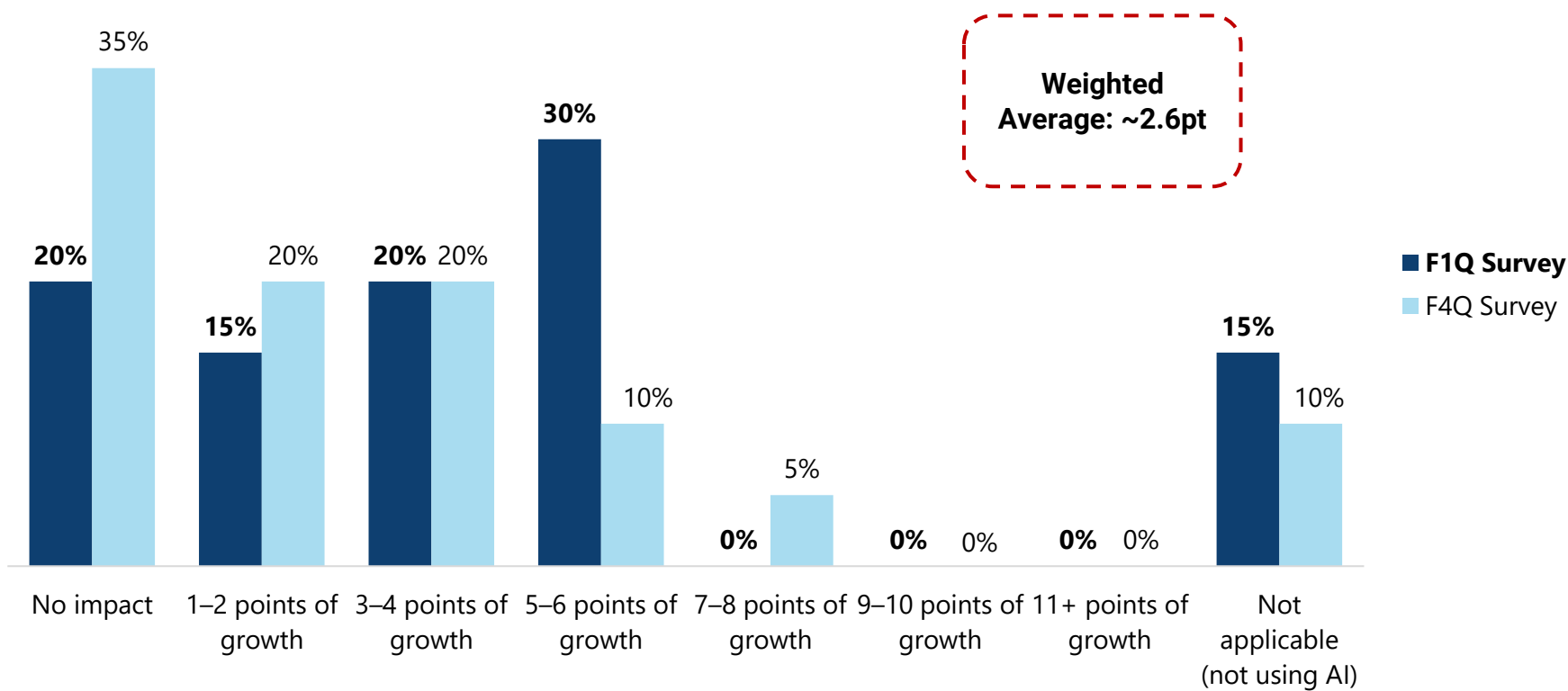
Notably, 90% of respondents cited that they have not reallocated away from GOOGL due to AI-driven changes vs. 85% in F4Q’s survey cohort.



GenAI's Positive Lift to RoAS Is Growing, Though Still Nascent

Partners saw GenAI contributing ~3pts to RoAS on a weighted-average basis vs. ~2pts last quarter. This result aligns with our field checks as advertisers are still refining how to translate AI adoption into durable ROI without sacrificing efficiency.

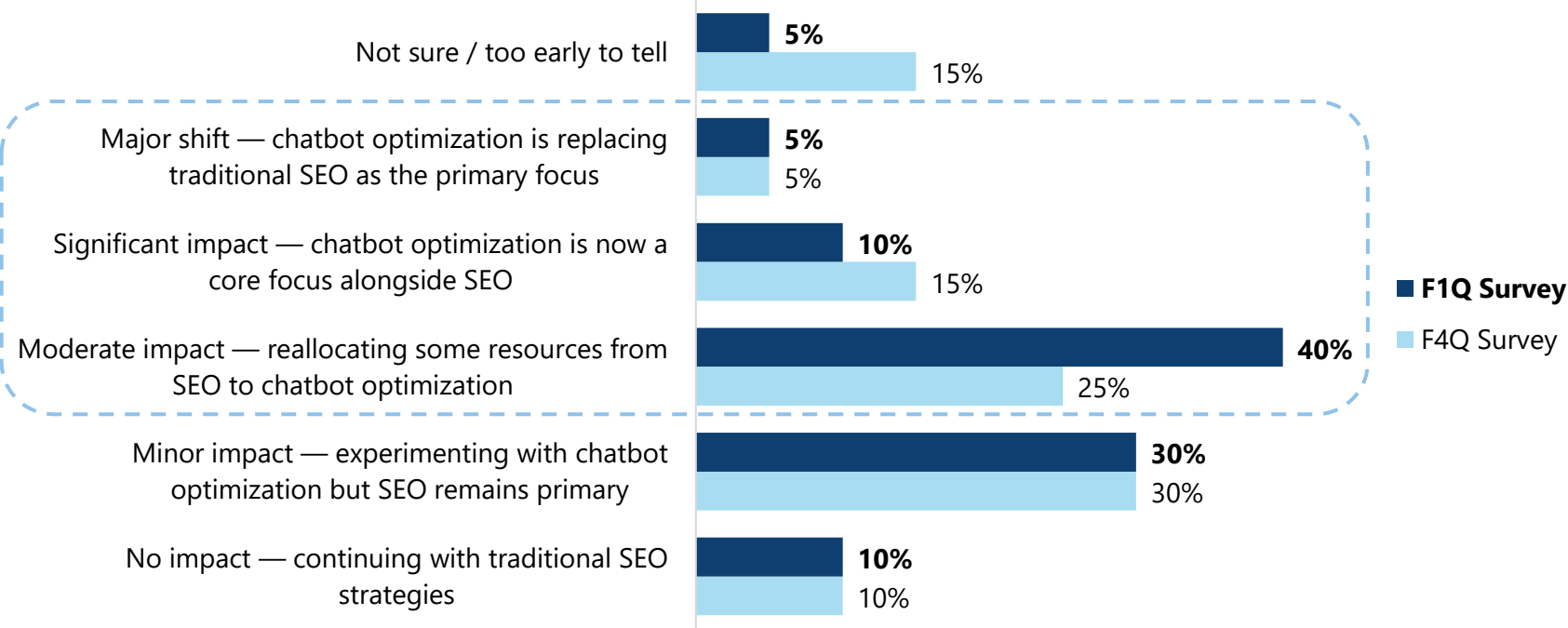
How has GenAI contributed to your overall RoAS over the past 3 months?



More Partners Starting to See Impact to SEO from AI-Powered Chatbots

55% of partners noted moderate to major impact from AI-powered chatbots, which is slightly higher than our F4Q survey results (45%), though fewer saw a “significant” impact. While traditional search remains a meaningful channel, we expect emerging chatbots could drive a larger impact over time.

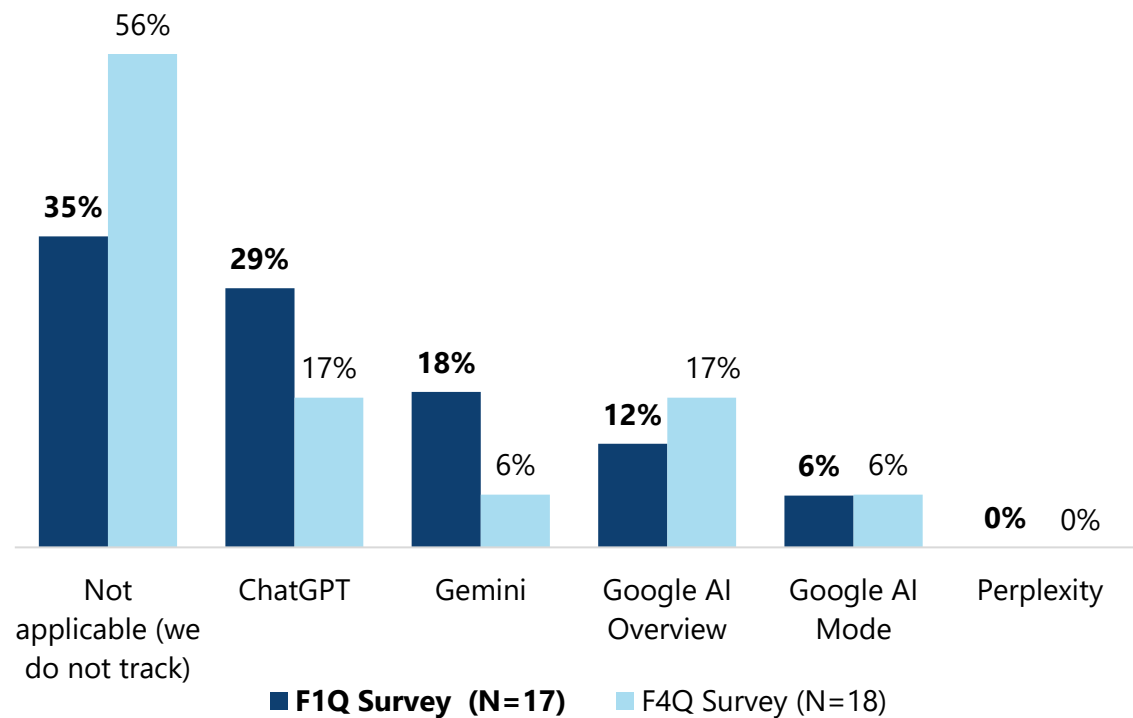
How is the rise of AI powered chatbots (e.g., ChatGPT, Gemini, Copilot) affecting your approach to search optimization compared with traditional SEO?



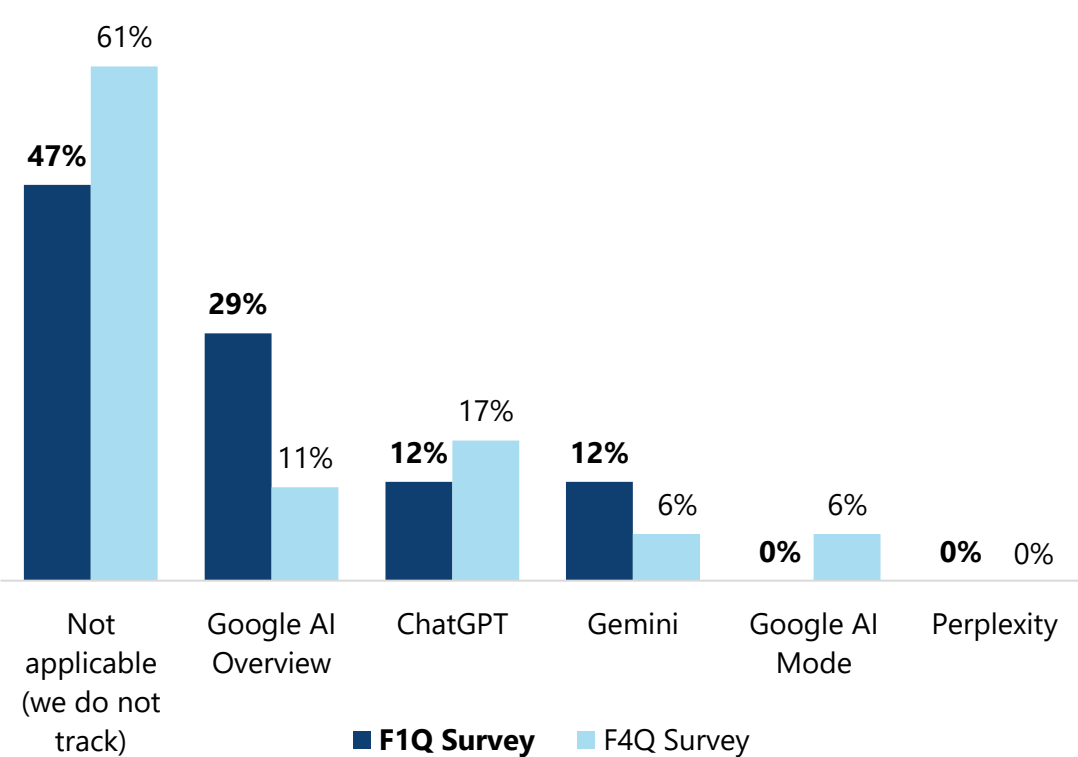
Google AI Overview Seeing Strongest Conversion, Though Data is Limited

Most advertisers using AI tools still do not track performance, which suggests AI adoption remains early. We note that respondent pools differ across surveys, limiting direct comparability. Among those that do track, Google AI Overview saw a meaningful step up in conversion, receiving 29% of the votes vs. just 11% in F4Q.

Which AI tool drives the most traffic for your clients?

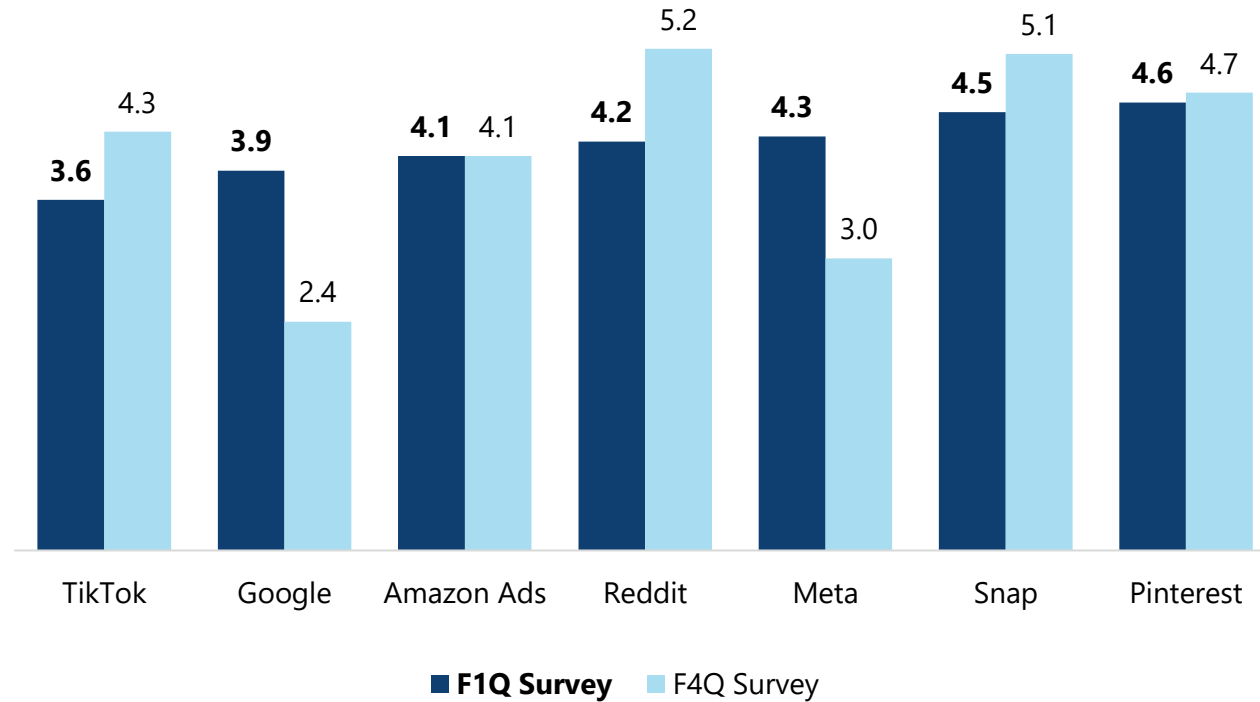


Which AI tool drives the most conversions for your clients?



TikTok Had Tightest Upward Ad Pricing Pressure, Followed by Google

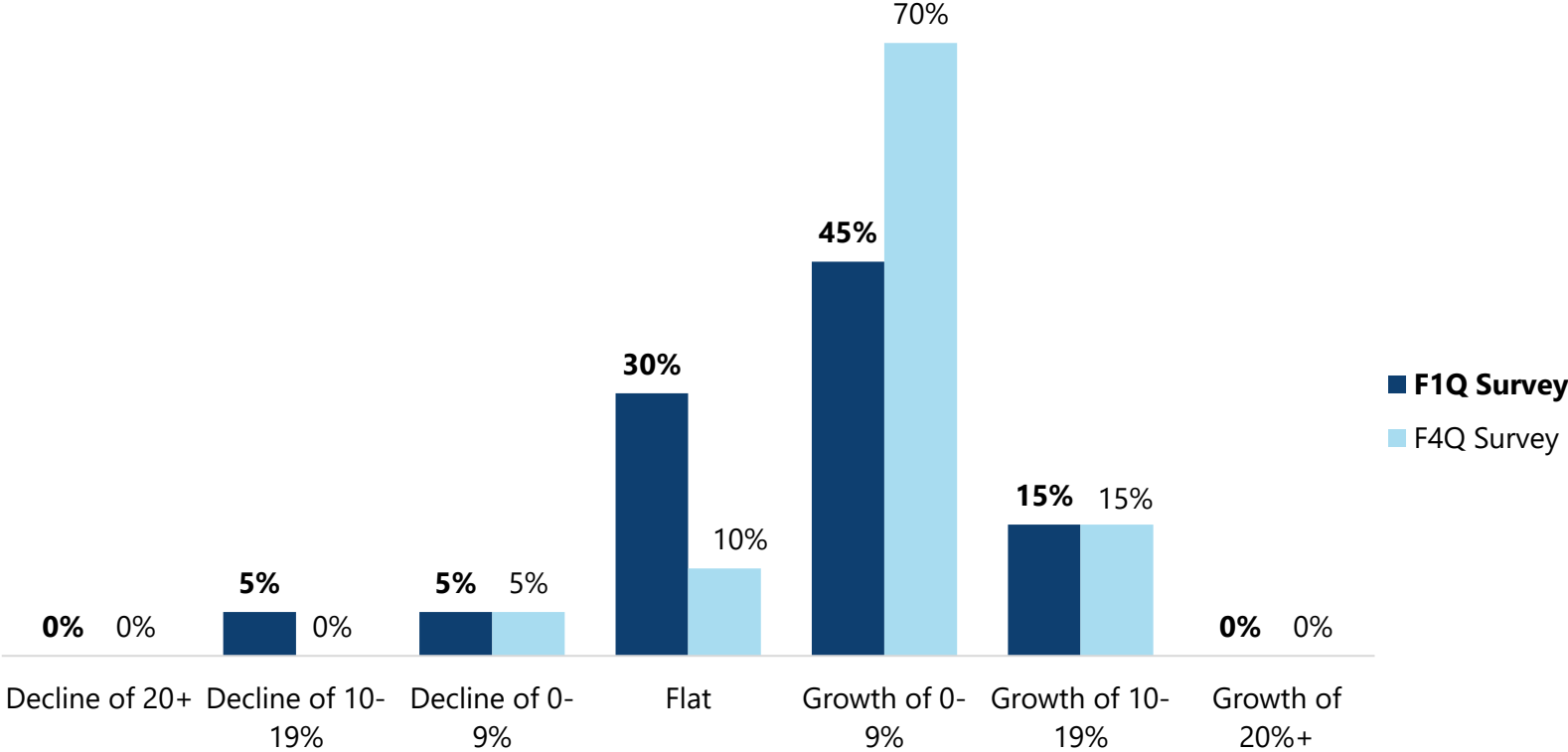
Where are you seeing the tightest upward pricing this quarter?
(1 = tightest pressure)



60% of Partners Reported Higher CPC on GOOGL In 1Q26

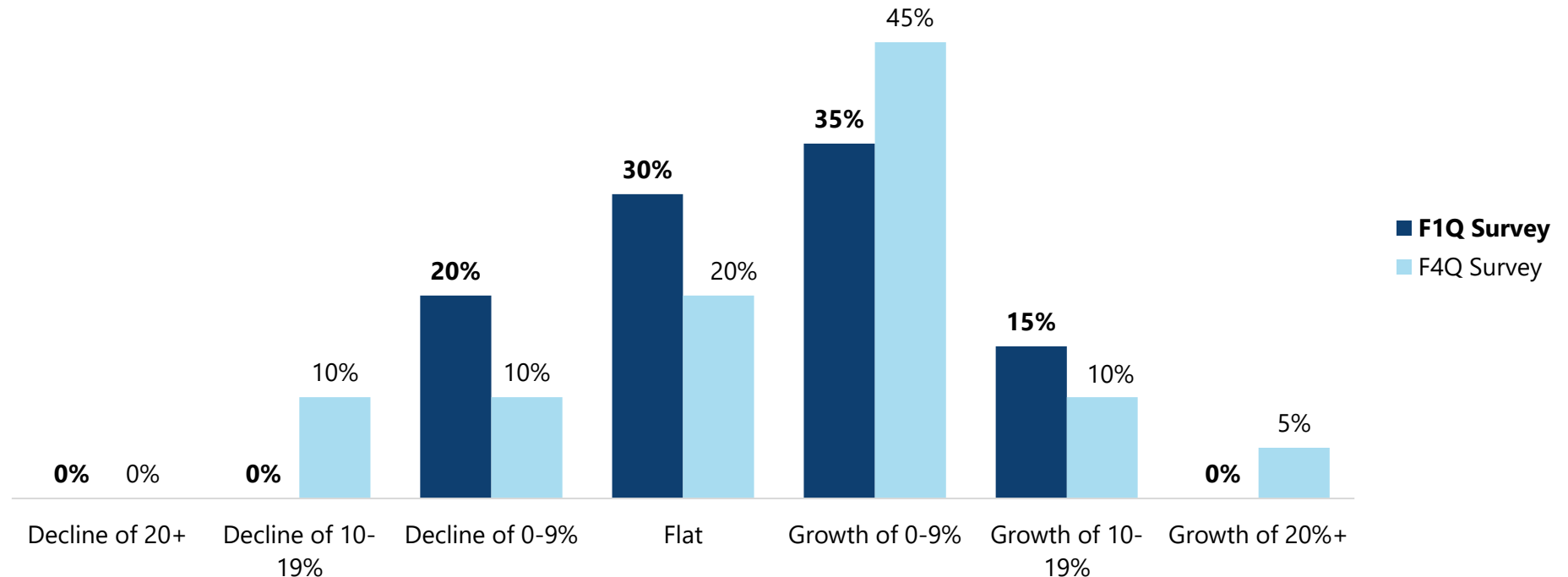
60% of partners in F1Q vs. 85% in F4Q reported growing CPC inflation on GOOGL. We believe this likely reflects moderating demand after the holiday season.

Overall, what was your observed CPC inflation on Google this quarter vs. same time last year?



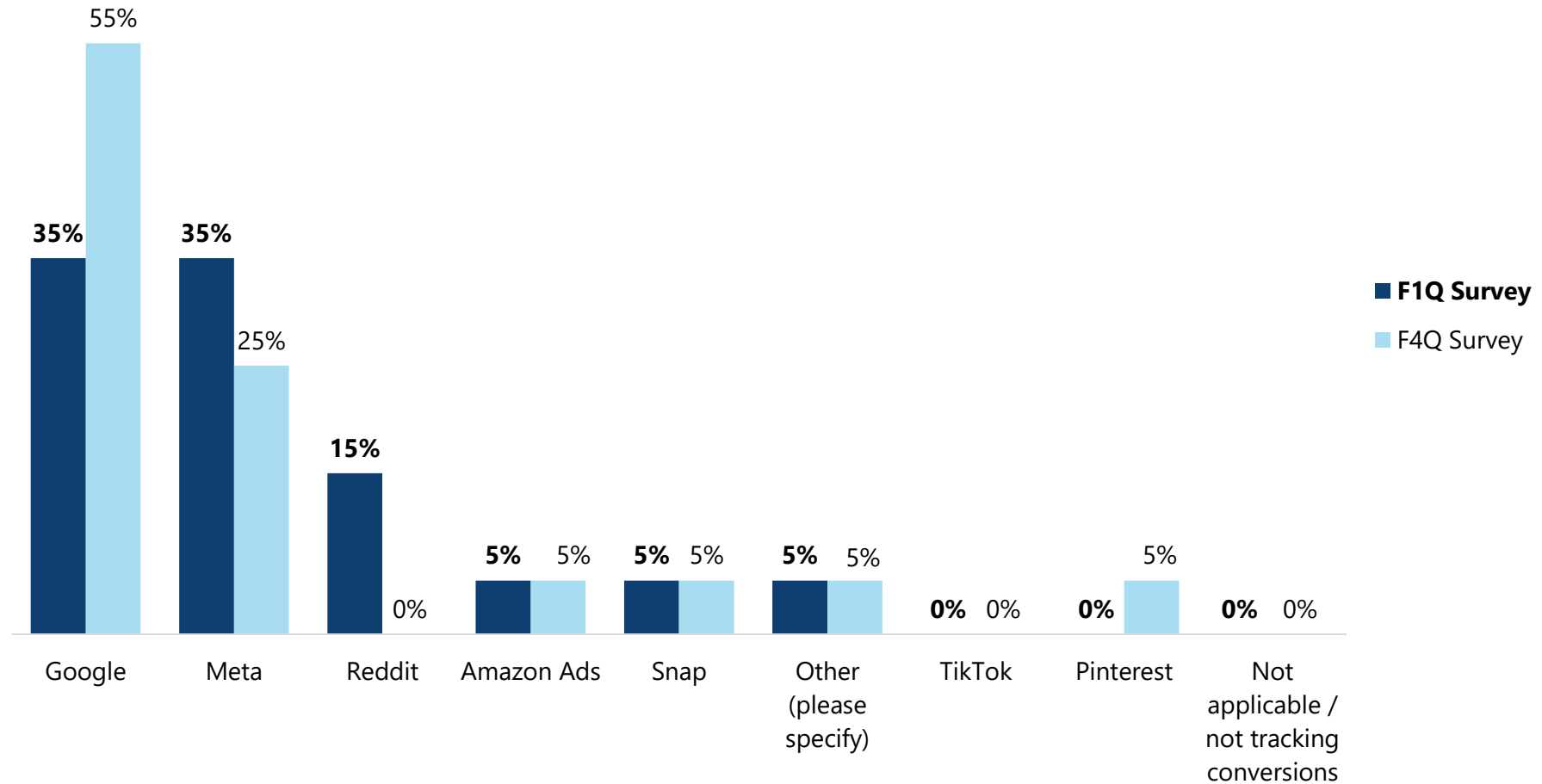
50% of Partners Reported Higher Overall Conversion Rates Y/Y...

How has your average conversion rate across digital platforms changed this quarter vs. same time last year?



...with GOOGL and META Delivering The Best Conversion Performance

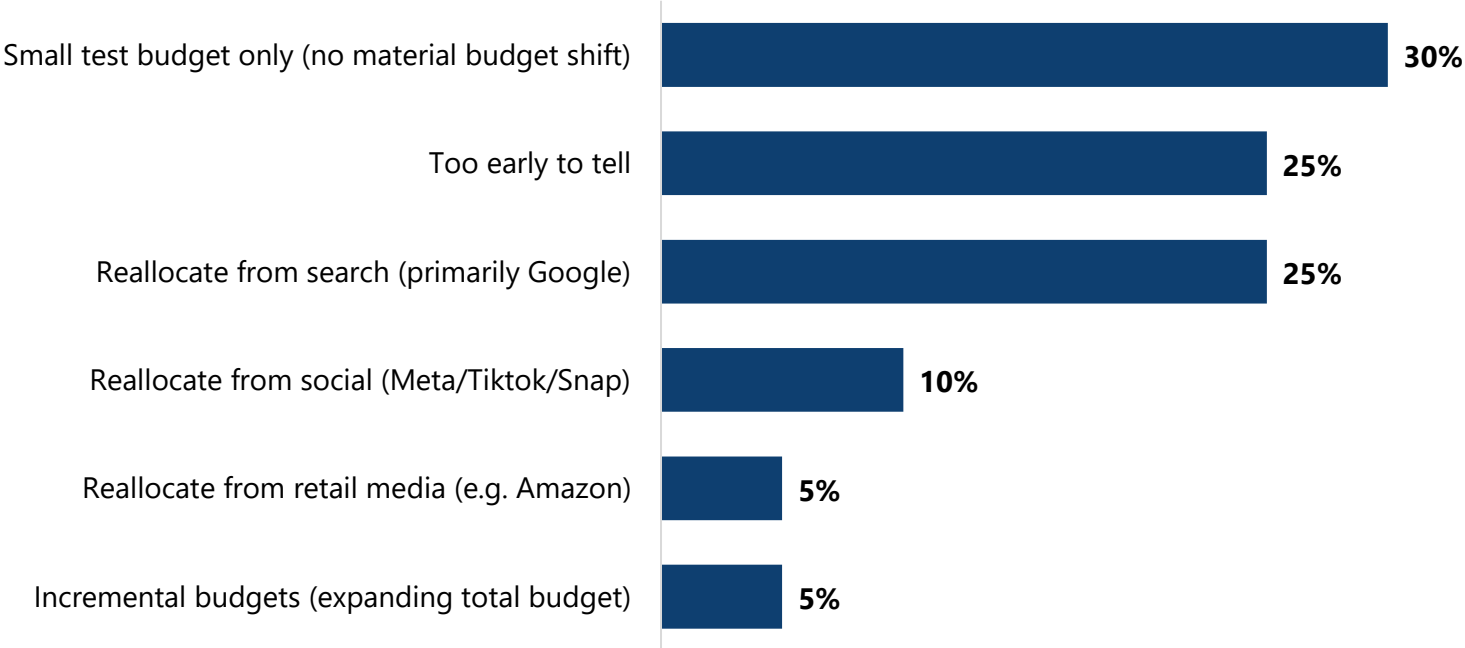
Which platform has delivered the strongest conversion performance for your clients in this quarter vs. same time last year?



OpenAI Ads Likely to Funded by Reallocation from Other Channels

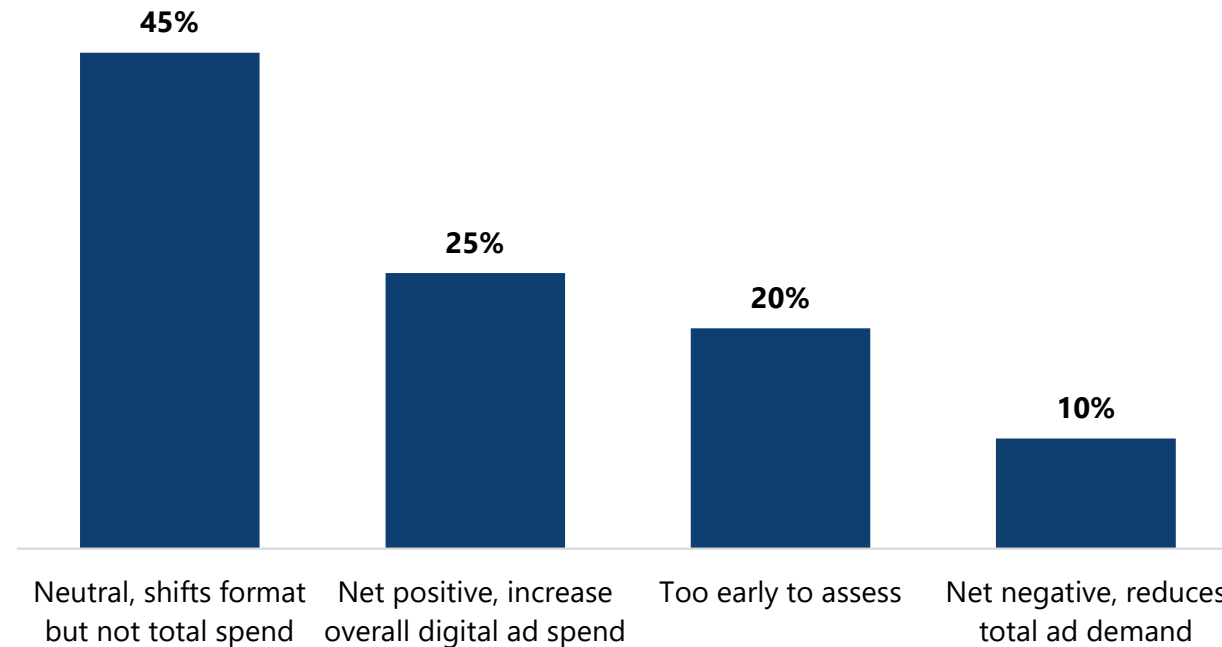
Similar to our field checks, we view OpenAI Ads to be “non-bankable” in 2026 as advertiser focus will continue to be on core platforms

If OpenAI plans to meaningfully scale its advertising offering, how would you fund this spend?



Agentic Commerce Could Drive Potential Share Shift Within Ad Spend

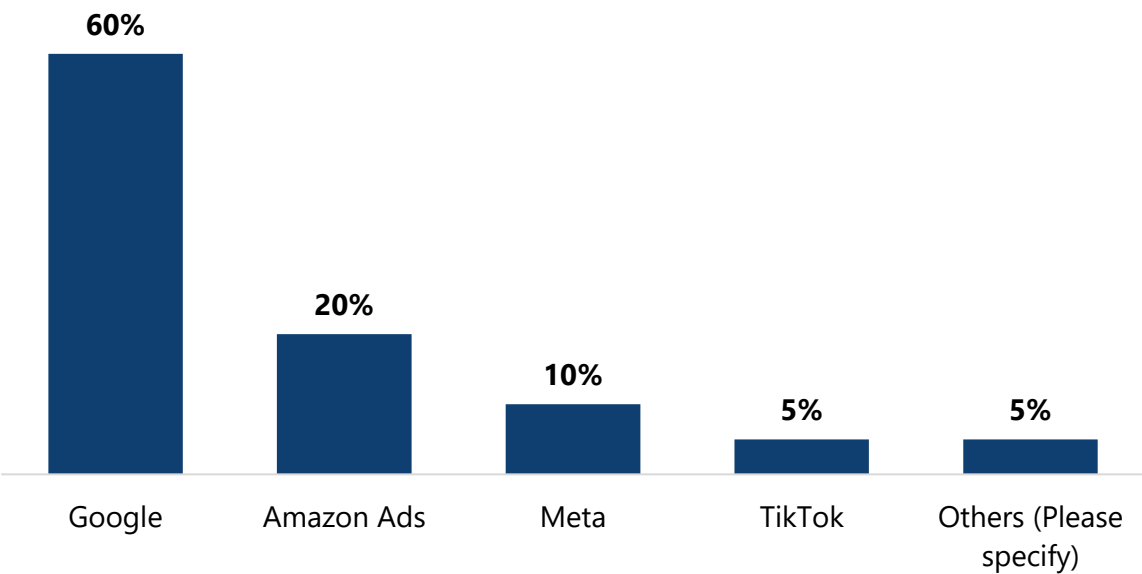
If agentic commerce adoption accelerates, how do you expect it to impact digital advertising spend over the next 12 months?



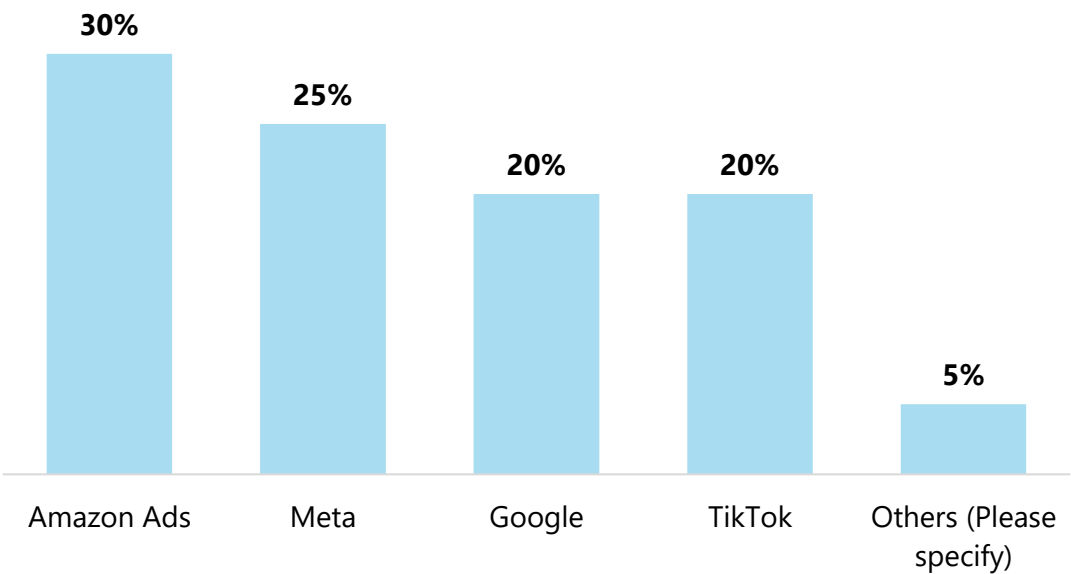
GOOGL Seen as the Primary Beneficiary of Agentic Commerce

Which platform do you believe to be most impacted by the rise of agentic commerce over time?

Most Positively Impacted



Most Negatively Impacted



Amid Macro Uncertainty and AI, Partners Prioritize Data-Rich Platforms

“

Google continues to be king in the insurance space and will continue to garner the majority of the budget moving forward.

We will continue leaning deeper into AI with their evolving products.

“

We are seeing a massive divergence in pricing power; **AMZN & WMT are commanding the highest premiums because they own the transaction data that AI agents need to function effectively.** While **GOOGL & META** remain dominant, they face the most pressure to evolve their pricing models from 'clicks' to 'actions' as AI agents begin to navigate the web on behalf of consumers.

“

The advertising landscape is shifting quickly these days at a higher rate than ever because of the impact of AI. **The impact on search, ad creation, tracking analysis and reporting have had a profound effect on how we create campaigns, track the data and follow through on campaign optimizations.**

“

The conflict with Iran is unlikely to be resolved quickly and LT negative downtrends are expected. As to how much of a drag that is full year is anyone's guess at this point, but **the uncertainty in the near to medium-term will most likely weigh on businesses both domestically & abroad, and in turn reduce ad spend or at the very least slow the growth that we'd otherwise see without the conflict.**

“

I'm seeing 2026 as less about new channels and more about a structural reset in programmatic/digital ad spends, where I'm prioritizing quality, data control, and supply transparency over pure scale. I think AI is fundamentally changing execution by moving from optimization to autonomous buying, which compresses margins and shifts power toward platforms with the best proprietary data.

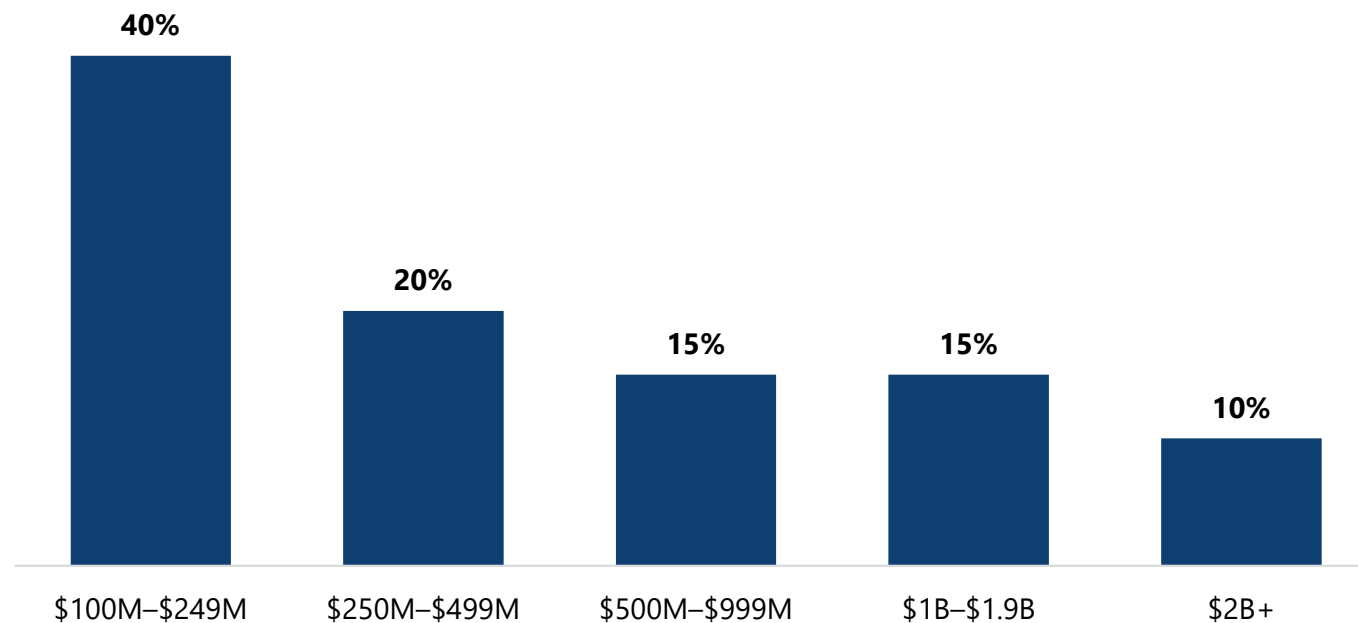
“

YouTube continues to be a priority.

Partner Survey Demographic

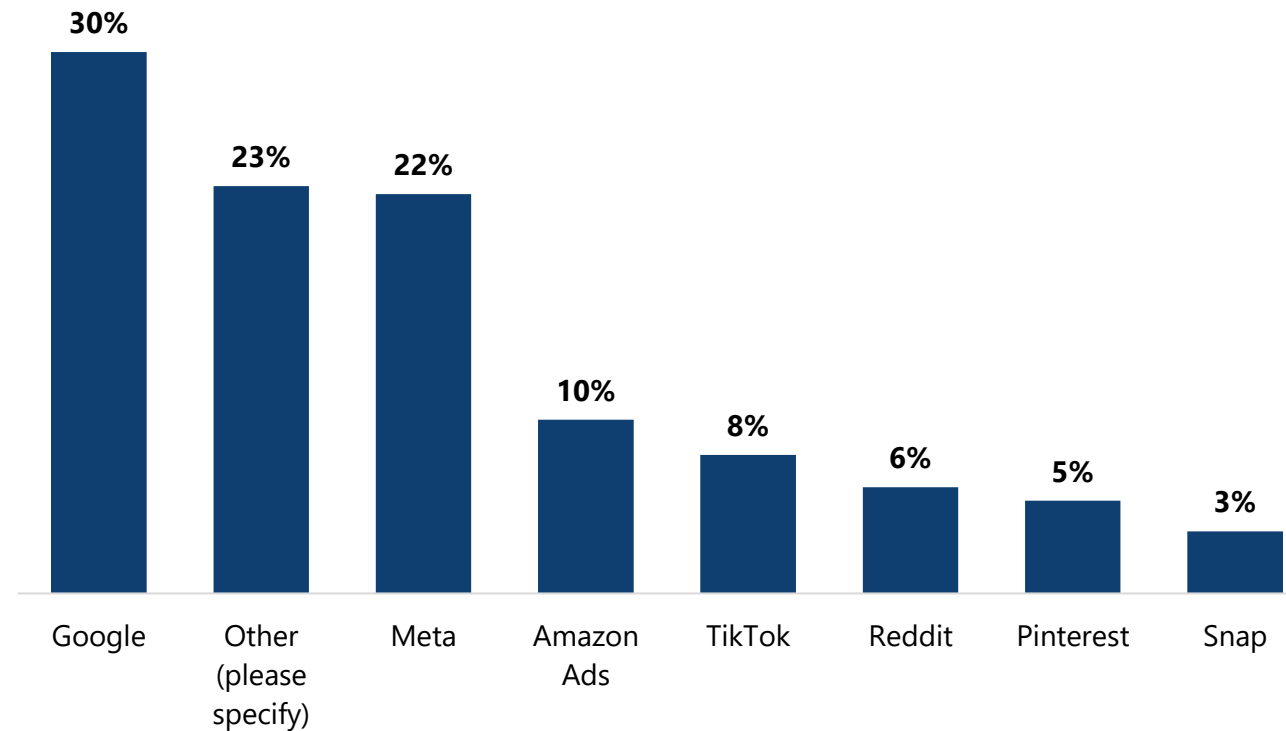
Partner Media Spend Breakdown

What was the total digital media spend under management across your client portfolio in 2025? (all platforms)



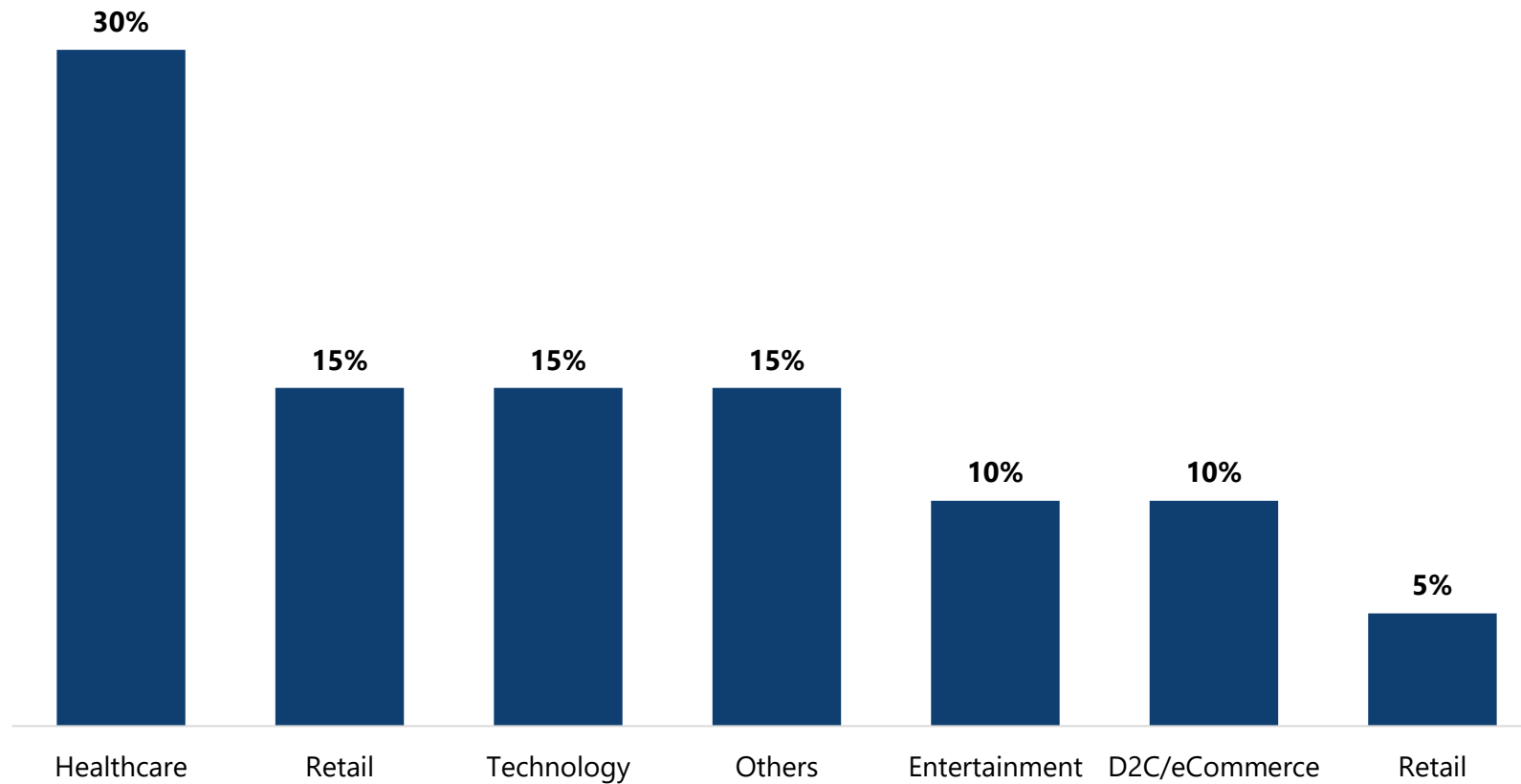
Partner '26 YTD Digital Budget Mix: Google 30%, Meta 22%

Please allocate your current 2026 YTD digital budget mix by platform.



Partner Vertical Breakdown

Which verticals account for the majority of your managed spend (as % of your overall practice)?

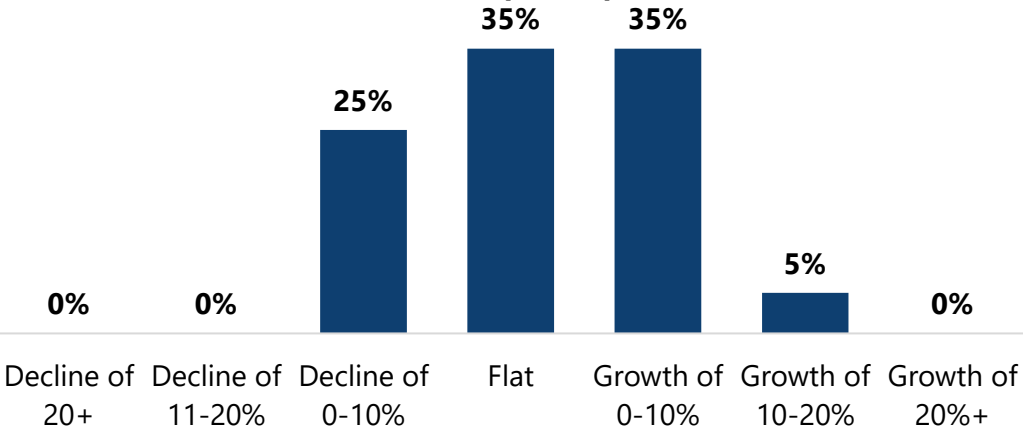


SECTION III
Appendix /
Supplemental Charts

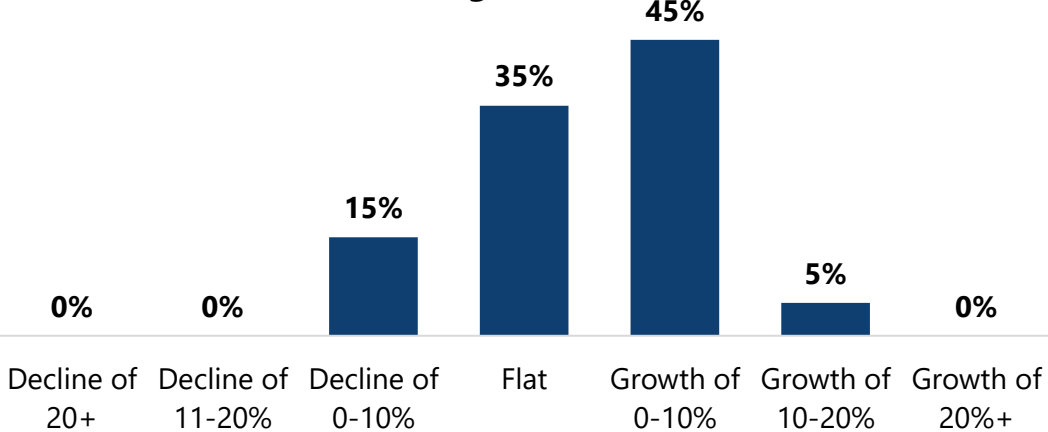
1Q26 Advertising Spend vs. Plan By Platform

Over the last 3 months, how was your advertising spend vs. forecast?

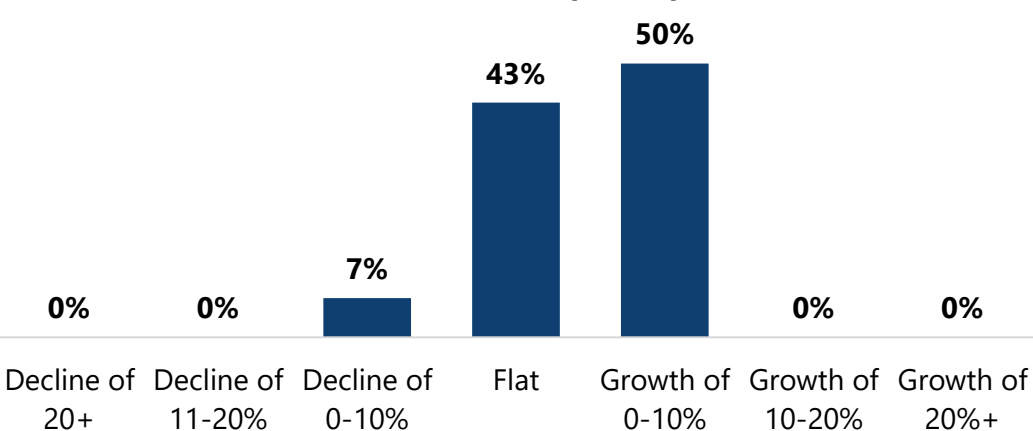
Meta (N=20)



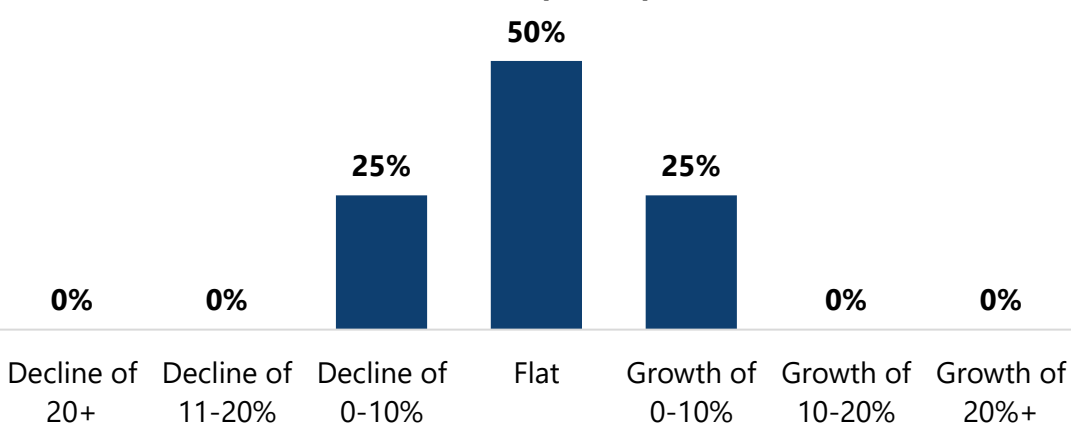
Google (N=20)



Amazon Ads (N=14)

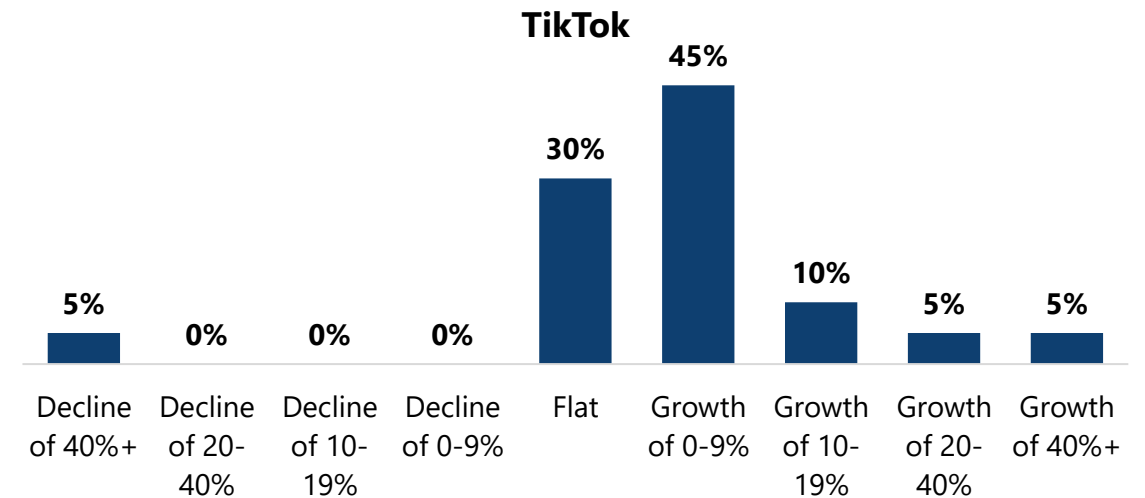
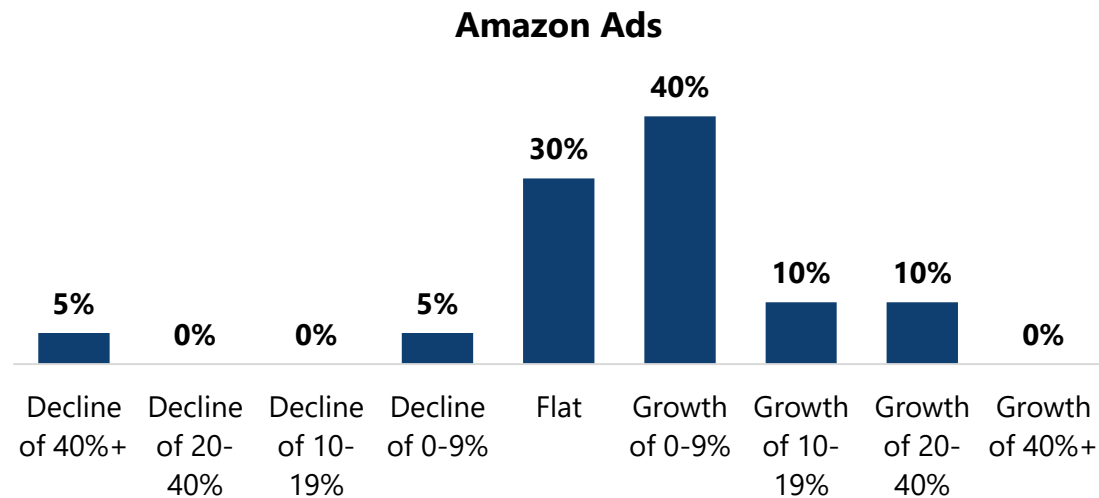
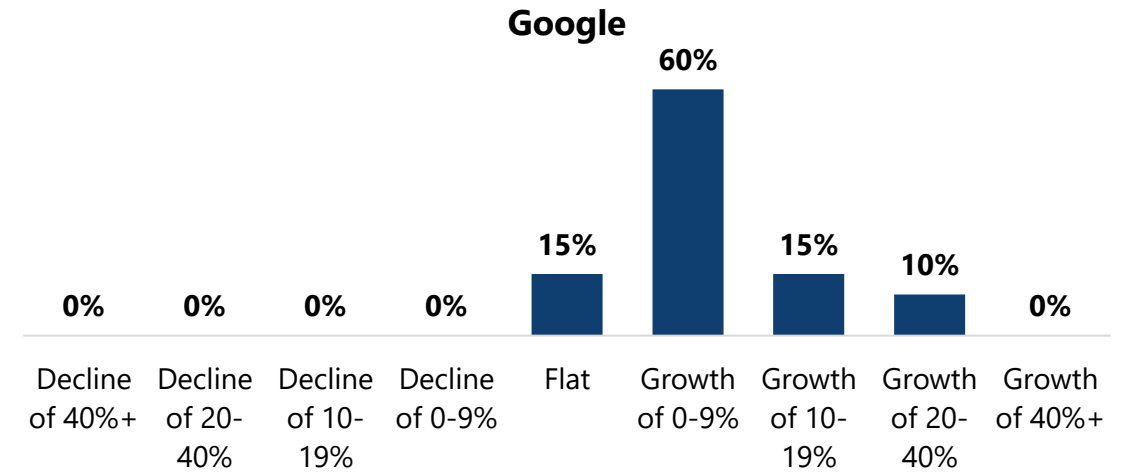
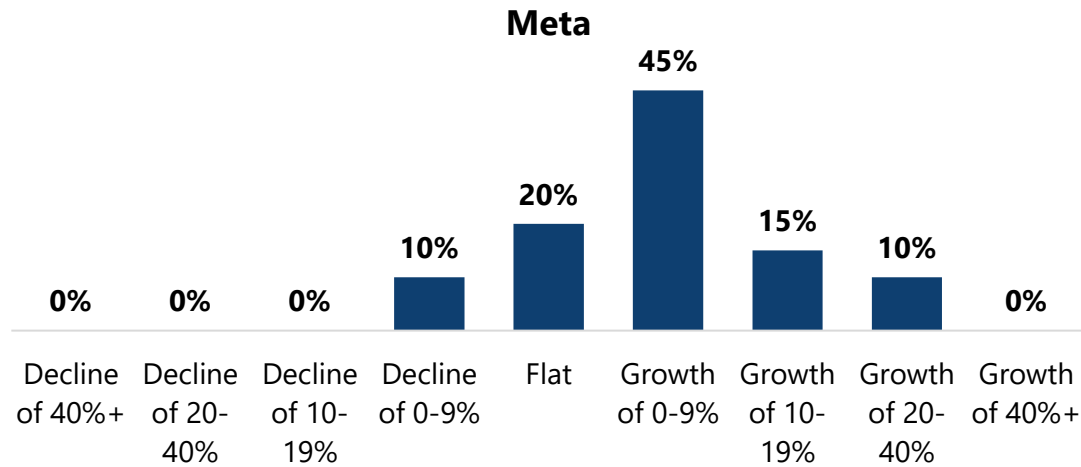


TikTok (N=16)



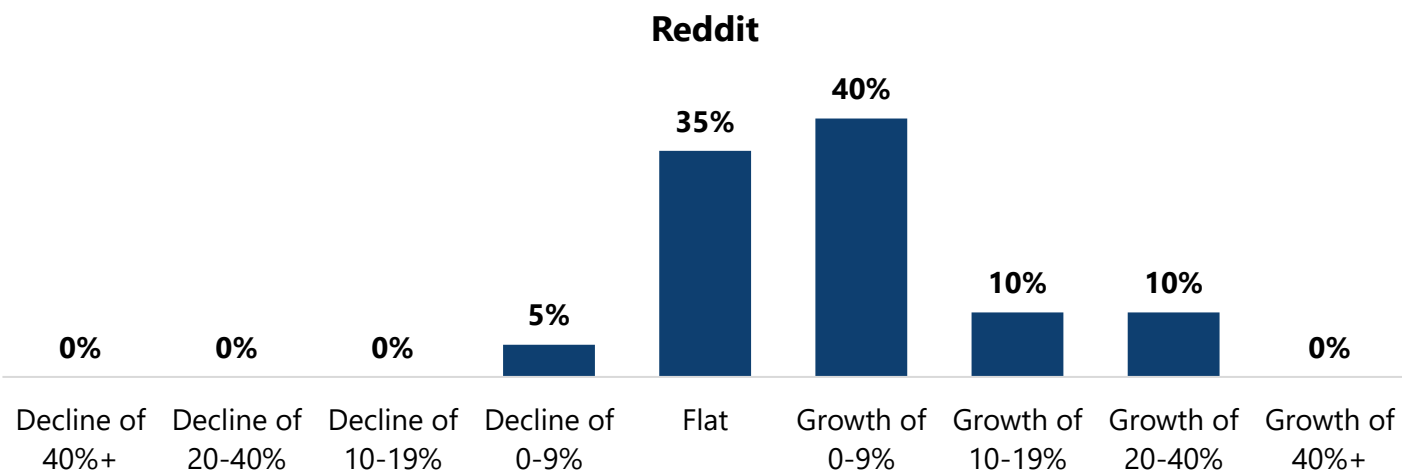
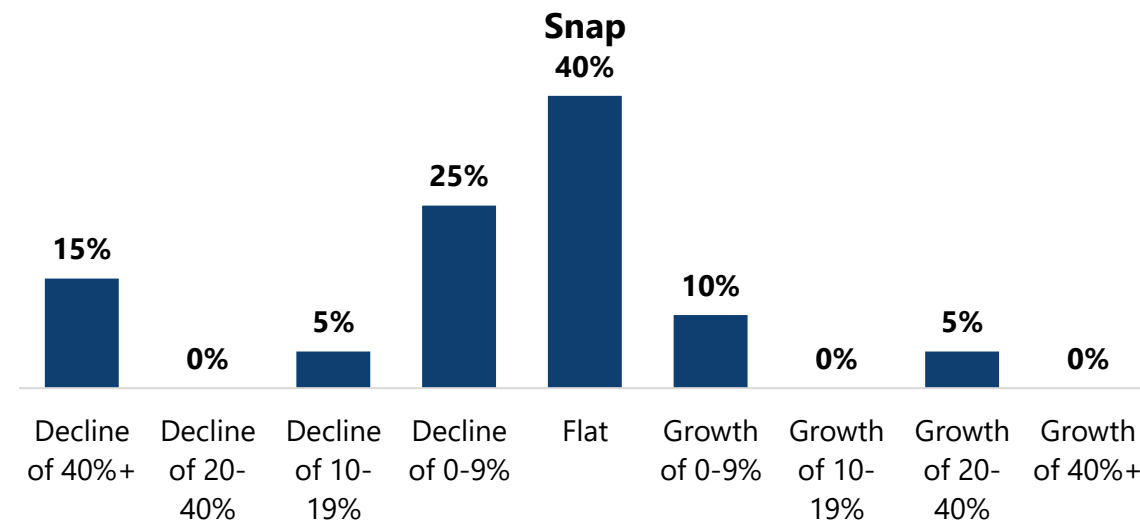
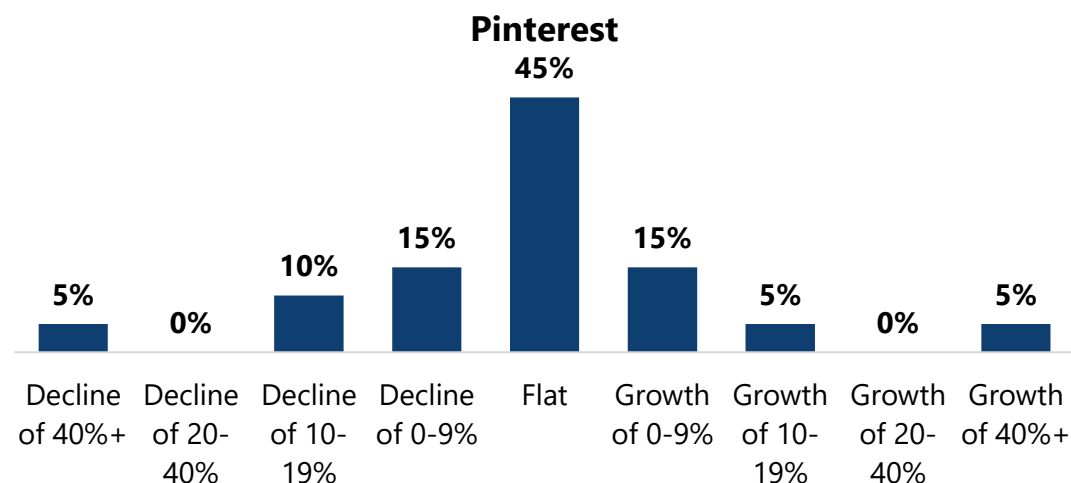
'26 Advertising Spend Y/Y Growth Expectation By Platform

What are your growth expectations for ad spend in 2026?



'26 Advertising Spend Y/Y Growth Expectation By Platform

What are your growth expectations for ad spend in 2026?



SECTION IV

Financials

GOOGL Income Statement

Google - Income Statement

(\$ in Thousands, except per share)

	F 2025				F 2026							
	Q1 25A	Q2 25A	Q3 25A	Q4 25A	Q1 26E	Q2 26E	Q3 26E	Q4 26E	F 2024A	F 2025A	F 2026E	F 2027E
Reported Gros s Revenue (Incl. TAC)	\$90,234,000	\$96,428,000	\$102,346,000	\$113,828,000	\$106,108,026	\$113,070,373	\$119,230,154	\$132,253,532	\$350,018,000	\$402,836,000	\$470,662,085	\$541,959,103
% Q/Q Growth	(6)	7	6	11	(7)	7	5	11	--	--	--	--
Traffic Acquisition Costs (TAC)	13,748,000	14,705,000	14,876,000	16,597,000	15,206,371	15,968,968	16,257,384	17,747,489	54,900,000	59,926,000	65,180,212	70,963,048
% of Advertising Gros s Revenue	20.6%	20.6%	20.1%	20.2%	20.1%	19.9%	19.7%	19.6%	21%	20%	20%	20%
Net Revenue (excl. TAC)	\$76,486,000	\$81,723,000	\$87,470,000	\$97,231,000	\$90,901,655	\$97,101,405	\$102,972,770	\$114,506,043	\$295,118,000	\$342,910,000	\$405,481,873	470,996,055
% Y/Y Growth	13.2%	14.5%	17.3%	19.1%	19%	19%	18%	18%	15%	16%	18%	16%
% Q/Q Growth	(6)	7	7	11	(7)	7	6	11	--	--	--	--
Additional Cost of Net Revenue	22,613,000	24,334,000	26,493,000	29,169,000	26,452,382	28,742,016	30,068,049	33,779,283	91,406,000	102,609,000	119,041,729	138,197,613
Total Gros s Profit	\$53,873,000	\$57,389,000	\$60,977,000	\$68,062,000	\$64,449,274	\$68,359,389	\$72,904,721	\$80,726,760	\$203,712,000	\$240,301,000	\$286,440,144	\$332,798,442
% Margin	70.4%	70.2%	69.7%	70.0%	70.9%	70.4%	70.8%	70.5%	69%	70%	71%	71%
Research and Development	13,556,000	13,808,000	15,151,000	18,572,000	17,772,000	17,802,000	18,002,000	19,402,000	49,326,000	61,087,000	72,978,000	81,908,000
Sales and Marketing	6,172,000	7,101,000	7,205,000	8,215,000	6,363,116	7,476,808	7,928,903	8,816,965	27,808,000	28,693,000	30,585,793	36,485,105
General and Administrative	3,539,000	5,209,000	7,393,000	5,341,000	4,341,000	4,391,000	6,138,200	6,343,400	14,188,000	21,482,000	21,213,600	25,561,920
Accrued Performance Fees									0	0	0	0
EC Fines Accrued									0	0	0	0
Operating Income (non-GAAP)	\$30,606,000	\$31,271,000	\$31,228,000	\$35,934,000	\$35,973,158	\$38,689,581	\$40,835,618	\$46,164,395	\$112,390,000	\$129,039,000.00	\$161,662,751.05	\$188,843,417
% Margin	40.0%	38.3%	35.7%	37.0%	39.6%	39.8%	39.7%	40.3%	38.1%	37.6%	39.9%	40.1%
% Y/Y Growth	20	14	9	16	18	24	31	28	33	15	25	17
% Q/Q Growth	(1)	2	(0)	15	0	8	6	13	--	--	--	--
EBIT (GAAP)	\$30,606,000	\$31,271,000	\$31,228,000	\$35,934,000	\$35,973,158	\$38,689,581	\$40,835,618	\$46,164,395	\$112,390,000	\$129,039,000	\$161,662,751	\$188,843,417
% Margin	40.0%	38.3%	35.7%	37.0%	39.6%	39.8%	39.7%	40.3%	38.08%	37.63%	39.87%	40%
EBITDA	\$40,609,000	\$42,267,000	\$43,207,000	\$48,742,000	\$50,087,158	\$53,538,151	\$56,107,335	\$61,928,211	\$150,486,000	\$174,825,000	\$221,660,855	\$257,794,110
% Margin	53%	52%	49%	50%	55%	55%	54%	54%	51.0%	51.0%	54.7%	54.7%
% Y/Y Growth	19	14	13	19	23	27	30	27	25	16	27	16
% Q/Q Growth	(1)	4	2	13	3	7	5	10	--	--	--	--
Net Interest (Income) and Other (Income)	(11,183,000)	(2,662,000)	(12,759,000)	(3,183,000)	(4,183,000)	(4,183,000)	(4,183,000)	(4,183,000)	(7,425,000)	(29,787,000)	(16,732,000)	(16,732,000)
Pre-Tax Profit / (Loss) (non-GAAP)	\$41,789,000	\$33,933,000	\$43,987,000	\$39,117,000	\$40,156,158	\$42,872,581	\$45,018,618	\$50,347,395	\$119,815,000	\$158,826,000	\$178,394,751	\$205,575,417
% Effective Tax Rate	17%	17%	20%	12%	18%	18%	18%	18%	16%	17%	18%	18%
Provision / (Benefit) for Income Taxes	7,249,000	5,737,000	9,008,000	4,662,000	7,187,952	7,674,192	8,058,333	9,012,184	19,697,000	26,656,000	31,932,660	36,798,000
Reported GAAP Net Income / (Loss)	\$34,540,000	\$28,196,000	\$34,979,000	\$34,455,000	\$32,968,205	\$35,198,389	\$36,960,285	\$41,335,211	\$100,118,000	\$132,170,000	\$146,462,091	\$168,777,417
% Margin	45%	35%	40%	35%	36%	36%	36%	36%	34%	39%	36%	36%
% Y/Y Growth	46	19	33	30	(5)	25	6	20	36	32	11	15
% Q/Q Growth	30	(18)	24	(1)	(4)	7	5	12	--	--	--	--
Weighted Avg. Diluted Shares Outstanding	12,291,000	12,198,000	12,203,000	12,228,000	12,229,140	12,230,286	12,231,437	12,232,594	12,447,250	12,230,000	12,230,864	12,260,642
EPS (non-GAAP)	\$2.81	\$2.31	\$2.87	\$2.82	\$2.70	\$2.88	\$3.02	\$3.38	\$8.04	\$10.81	\$11.97	\$13.77
% Y/Y Growth	49%	22%	35%	31%	(4%)	25%	5%	20%	39%	34%	11%	15%
% Q/Q Growth	31	(18)	24	(2)	(4)	7	5	12	--	--	--	--
EPS excl. EC fines, incl. Equity Gains												
Reported GAAP EPS	\$2.81	\$2.31	\$2.87	\$2.82	\$2.70	\$2.88	\$3.02	\$3.38	\$8.04	\$10.81	\$11.97	\$13.77
% Y/Y Growth	49%	22%	35%	31%	(4%)	25%	5%	20%	39%	34%	11%	15%
% Q/Q Growth	31	(18)	24	(2)	(4)	7	5	12	--	--	--	--

GOOGL Balance Sheet

Google - Balance Sheet

(\$ in Thousands)

	F 2025				F 2026				F 2024A	F 2025E	F 2026E	F 2027E
	Q1 25A	Q2 25A	Q3 25A	Q4 25A	Q1 26E	Q2 26E	Q3 26E	Q4 26E				
Cash & Cash Equivalents	\$23,264,000	\$21,036,000	\$23,090,000	\$30,708,000	\$16,862,922	\$525,651	(\$8,346,841)	(\$17,112,782)	\$23,466,000	\$30,708,000	(\$17,112,782)	(\$42,764,544)
Short-Term Marketable Securities	72,064,000	74,112,000	75,406,000	96,135,000	96,135,000	96,135,000	96,135,000	96,135,000	72,191,000	96,135,000	\$96,135,000	\$96,135,000
Accounts Receivable	51,000,000	55,048,000	57,148,000	62,886,000	58,490,232	62,328,107	65,723,581	72,902,495	52,340,000	62,886,000	\$72,902,495	\$83,747,590
Current Deferred Taxes									0	0	\$0	\$0
Other Current Assets	15,724,000	16,020,000	18,303,000	16,309,000	17,085,670	18,746,395	20,342,486	19,685,269	15,714,000	16,309,000	\$19,685,269	\$20,882,448
Current Assets	\$162,052,000	\$166,216,000	\$173,947,000	\$206,038,000	\$188,573,824	\$177,735,153	\$173,854,225	\$171,609,982	\$163,711,000	\$206,038,000	\$171,609,982	\$158,000,494
Property and Equipment	185,062,000	203,231,000	223,787,000	246,597,000	280,502,590	317,062,834	355,668,976	398,335,952	171,036,000	246,597,000	\$398,335,952	\$569,292,700
Long-Term Equity and Other Investments	51,029,000	52,574,000	63,800,000	68,687,000	68,687,000	68,687,000	68,687,000	68,687,000	37,982,000	68,687,000	\$68,687,000	\$68,687,000
Goodwill	32,173,000	32,335,000	33,269,000	33,380,000	33,380,000	33,380,000	33,380,000	33,380,000	31,885,000	33,380,000	\$33,380,000	\$33,380,000
Other Intangibles	0	0	0	0	0	0	0	0	0	0	\$0	\$0
Long-Term Deferred Taxes	18,386,000	19,289,000	10,331,000	9,113,000	9,113,000	9,113,000	9,113,000	9,113,000	17,180,000	9,113,000	\$9,113,000	\$9,113,000
Prepaid Revenue Share, Expenses and Other Assets	26,672,000	28,408,000	31,335,000	31,466,000	28,829,527	30,275,324	30,822,128	33,647,195	28,462,000	31,466,000	\$33,647,195	\$36,245,685
Total Assets	\$475,374,000	\$502,053,000	\$536,469,000	\$595,281,000	\$609,085,941	\$636,253,311	\$671,525,329	\$714,773,129	\$450,256,000	\$595,281,000	\$714,773,129	\$874,718,879
Accounts Payable	\$8,497,000	\$8,347,000	\$10,546,000	\$12,200,000	\$11,105,117	\$11,918,761	\$12,349,130	\$13,735,669	7,987,000	12,200,000	\$13,735,669	\$15,543,958
Accrued Compensation & Benefits	9,984,000	12,168,000	13,944,000	17,546,000	13,668,536	13,182,433	14,768,146	17,912,431	15,069,000	17,546,000	\$17,912,431	\$18,571,020
Accrued Expenses & Other Liabilities	58,300,000	52,039,000	59,437,000	55,557,000	54,674,142	56,966,032	62,855,442	64,977,247	51,228,000	55,557,000	\$64,977,247	\$72,891,937
Accrued Revenue Share	9,965,000	9,787,000	10,081,000	10,864,000	11,035,235	11,444,637	12,417,534	13,783,794	9,802,000	10,864,000	\$13,783,794	\$16,523,721
Deferred Revenue	4,908,000	4,969,000	5,542,000	6,578,000	5,454,099	5,437,679	5,766,475	5,954,314	5,036,000	6,578,000	\$5,954,314	\$6,906,104
Current Income Taxes									0	0	\$0	\$0
Short-Term Debt & Capital Lease Obligations	0	0	0	0	0	0	0	0	0	0	\$0	\$0
Total Current Liabilities	\$91,654,000	\$87,310,000	\$99,550,000	\$102,745,000	\$95,937,129	\$98,949,542	\$108,156,727	\$116,363,454	\$89,122,000	\$102,745,000	\$116,363,454	\$130,436,740
Long-Term Debt & Capital Lease Obligations	10,886,000	23,607,000	21,607,000	46,547,000	46,547,000	46,547,000	46,547,000	46,547,000	10,883,000	46,547,000	\$46,547,000	\$46,547,000
Long-Term Deferred Revenue	0	0	0	0	0	0	0	0	0	0	\$0	\$0
Deferred Income Taxes	9,773,000	10,027,000	10,072,000	9,531,000	9,531,000	9,531,000	9,531,000	9,531,000	8,782,000	9,531,000	\$9,531,000	\$9,531,000
Other Long-Term Liabilities	17,794,000	18,193,000	18,373,000	21,193,000	19,983,121	19,489,553	18,933,364	22,778,291	16,385,000	21,193,000	\$22,778,291	\$25,564,358
Total Liabilities	\$130,107,000	\$139,137,000	\$149,602,000	\$180,016,000	\$171,998,250	\$174,517,095	\$183,168,092	\$195,219,745	\$125,172,000	\$180,016,000	\$195,219,745	\$212,079,099
Shareholders' Equity	\$345,267,000	\$362,916,000	\$386,867,000	\$415,265,000	\$437,087,691	\$461,736,216	\$488,357,237	\$519,553,384	\$325,084,000	\$415,265,000	\$519,553,384	\$662,639,780
Liabilities & Shareholders' Equity	\$475,374,000	\$502,053,000	\$536,469,000	\$595,281,000	\$609,085,941	\$636,253,311	\$671,525,329	\$714,773,129	\$450,256,000	\$595,281,000	\$714,773,129	\$874,718,879

GOOGL Cash Flow Statement

Google - Cash Flow Statement

(\$ in Thousands)

	F 2025				F 2026							
	Q1 25A	Q2 25A	Q3 25A	Q4 25A	Q1 26E	Q2 26E	Q3 26E	Q4 26E	F 2024A	F 2025A	F 2026E	F 2027E
Net Income	\$34,540,000	\$28,196,000	\$34,979,000	\$34,455,000	\$32,968,205	\$35,198,389	\$36,960,285	\$41,335,211	\$100,118,000	\$132,170,000	\$146,462,091	\$168,777,417
Depreciation	4,487,000	4,998,000	5,611,000	6,040,000	6,946,000	7,084,920	7,297,468	7,589,366	15,311,000	21,136,000	\$28,917,754	\$31,906,001
Amortization of Intangibles and Warrants	0	0	0	0	0	0	0	0	0	0	\$0	\$0
In-process research and development	0	0	0	0	0	0	0	0	0	0	\$0	\$0
Tax Benefit from Stock Options	0	0	0	0	0	0	0	0	0	0	\$0	\$0
Stock-Based Compensation	5,516,000	5,998,000	6,368,000	7,071,000	7,168,000	7,763,650	7,974,250	8,174,450	22,785,000	24,953,000	\$31,080,350	\$37,044,693
Deferred Taxes	(1,152,000)	(444,000)	8,726,000	1,218,000	0	0	0	0	(5,257,000)	8,348,000	\$0	\$0
Other / Charges	481,000	560,000	(198,000)	1,265,000	0	0	0	0	3,419,000	2,108,000	\$0	\$0
Funds From Operations	\$33,912,000	\$37,857,000	\$44,631,000	\$47,695,000	\$47,082,205	\$50,046,959	\$52,232,003	\$57,099,027	\$133,705,000	\$164,095,000	\$206,460,195	\$237,728,111
(Inc.) Dec. in Accounts Receivable	1,638,000	(2,839,000)	(2,381,000)	(4,943,000)	4,395,768	(3,837,875)	(3,395,474)	(7,178,914)	(5,891,000)	(8,525,000)	(10,016,495)	(10,845,095)
(Inc.) Dec. in Income Taxes	7,197,000	(9,631,000)	(858,000)	66,000	0	0	0	0	(2,418,000)	(3,226,000)	\$0	\$0
(Inc.) Dec. in Prepaid Revenue and Other	(1,288,000)	(1,479,000)	(1,293,000)	(482,000)	1,859,803	(3,106,522)	(2,142,894)	(2,167,851)	(1,397,000)	(4,542,000)	(\$5,557,464)	(\$3,795,669)
Inc. (Dec.) in Accounts Payable	(880,000)	553,000	(444,000)	227,000	(1,094,883)	813,644	430,369	1,386,539	359,000	(544,000)	\$1,535,669	\$1,808,289
Inc. (Dec.) in Accrued Expenses and Other Liab	(5,045,000)	3,485,000	7,759,000	7,937,000	(5,970,201)	1,312,220	6,918,934	9,111,015	(1,161,000)	14,136,000	\$11,371,968	\$11,359,348
Inc. (Dec.) in Accrued Revenue	116,000	(335,000)	319,000	799,000	171,235	409,402	972,897	1,366,260	1,059,000	899,000	\$2,919,794	\$2,739,927
Inc. (Dec.) in Deferred Revenue	500,000	136,000	681,000	1,103,000	(1,123,901)	(16,421)	328,796	187,839	1,043,000	2,420,000	(\$623,686)	\$951,790
Change in Net Working Capital	\$2,238,000	(\$10,110,000)	\$3,783,000	\$4,707,000	(\$1,762,180)	(\$4,425,551)	\$3,112,628	\$2,704,888	(\$8,406,000)	\$618,000	(\$370,214)	\$2,218,590
Cash Flow from Operations	\$36,150,000	\$27,747,000	\$48,414,000	\$52,402,000	\$45,320,026	\$45,621,408	\$55,344,631	\$59,803,916	\$125,299,000	\$164,713,000	\$206,089,980	\$239,946,700
Capital Expenditures	(17,197,000)	(22,446,000)	(23,953,000)	(27,851,000)	(40,851,590)	(43,645,164)	(45,903,609)	(50,256,342)	(52,535,000)	(91,447,000)	(\$180,656,705)	(\$202,862,749)
Acquisitions, Net of Cash Acquired	(340,000)	(13,000)	0	0	0	0	0	0	(2,931,000)	(353,000)	\$0	\$0
Purchases of Securities and Investments	(19,411,000)	(22,771,000)	(20,964,000)	(45,343,000)	0	0	0	0	(91,713,000)	(108,489,000)	\$0	\$0
Proceeds from Sales of PP&E	0	0	0	0	0	0	0	0	0	0	\$0	\$0
Proceeds from Sales of Securities and Investments	20,604,000	21,199,000	19,694,000	21,772,000	0	0	0	0	104,310,000	83,269,000	\$0	\$0
Other	150,000	(513,000)	(2,554,000)	(354,000)	0	0	0	0	(2,667,000)	(3,271,000)	\$0	\$0
Net Cash Used in Investing Activities	(\$16,194,000)	(\$24,544,000)	(\$27,777,000)	(\$51,776,000)	(\$40,851,590)	(\$43,645,164)	(\$45,903,609)	(\$50,256,342)	(\$45,536,000)	(\$120,291,000)	(\$180,656,705)	(\$202,862,749)
Debt Issuance / (Repayment)	11,000	12,970,000	(1,072,000)	20,229,000	0	0	0	0	888,000	32,138,000	\$0	\$0
Common Stock Dividends	(2,434,000)	(2,543,000)	(2,537,000)	(2,536,000)	(2,536,000)	(2,536,000)	(2,536,000)	(2,536,000)	(7,363,000)	(10,050,000)	(\$10,144,000)	(\$10,144,000)
Proceeds from / (Repurchase of) Common Stock	(15,068,000)	(13,638,000)	(11,504,000)	(5,499,000)	(15,777,514)	(15,777,514)	(15,777,514)	(15,777,514)	(62,222,000)	(45,709,000)	(\$63,110,057)	(\$52,591,714)
Excess Tax Benefit from Stock Options	(3,110,000)	(2,621,000)	(3,270,000)	(5,166,000)	0	0	0	0	(12,190,000)	(14,167,000)	\$0	\$0
Other	400,000	0	0	0	0	0	0	0	1,154,000	400,000	\$0	\$0
Net Cash Provided by Financing Activities	(\$20,201,000)	(\$5,832,000)	(\$18,383,000)	\$7,028,000	(\$18,313,514)	(\$18,313,514)	(\$18,313,514)	(\$18,313,514)	(\$79,733,000)	(\$37,388,000)	(\$73,254,057)	(\$62,735,714)
Effect of Exchange Rate Changes	43,000	401,000	(200,000)	(36,000)	0	0	0	0	(612,000)	208,000	\$0	\$0
Inc. (Dec.) in Cash and Cash Equivalents	(\$202,000)	(\$2,228,000)	\$2,054,000	\$7,618,000	(\$13,845,078)	(\$16,337,270)	(\$8,872,492)	(\$8,765,941)	(\$582,000)	\$7,242,000	(\$47,820,782)	(\$25,651,763)
Beginning Cash and Cash Equivalents	23,466,000	23,264,000	21,036,000	23,090,000	30,708,000	16,862,922	525,651	(8,346,841)	24,047,587	23,465,587	30,707,587	(17,113,195)
Ending Cash and Cash Equivalents	\$23,264,000	\$21,036,000	\$23,090,000	\$30,708,000	\$16,862,922	\$525,651	(\$8,346,841)	(\$17,112,782)	\$23,465,587	\$30,707,587	(\$17,113,195)	(\$42,764,957)

META Income Statement

Meta - Income Statement

(\$ in Millions)

	F 2025				F 2026				F 2024A	F 2025A	F 2026E	F 2027E
	Q1 25E	Q2 25A	Q3 25A	Q4 25A	Q1 26E	Q2 26E	Q3 26E	Q4 26E				
GAAP Revenue	\$42,314	\$47,516	\$51,242	\$59,893	\$54,825	\$60,399	\$62,618	\$72,325	\$164,500	\$200,965	\$250,167	\$294,086
% Y/Y Growth	16%	22%	26%	24%	30%	27%	22%	21%	22%	22%	24.5%	18%
% Q/Q Growth	(13%)	12%	8%	17%	(8%)	10%	4%	16%	--	--	--	--
Cost of Revenue	7,572	8,491	9,206	10,905	10,143	10,993	11,396	13,742	30,162	36,174	46,273	57,741
GAAP Gross Profit	\$34,742	\$39,025	\$42,036	\$48,988	\$44,682	\$49,406	\$51,221	\$58,583	\$134,338	\$164,791	\$203,893	\$236,345
% Margin	82.1%	82.1%	82.0%	81.8%	81.5%	81.8%	81.8%	81.0%	81.7%	82.0%	81.5%	80.4%
Marketing and Sales	2,757	2,979	2,845	3,410	3,673	4,228	4,321	4,918	11,347	11,991	17,140	18,794
Research and Development	12,150	12,942	15,144	17,136	17,599	19,509	20,351	23,361	43,872	57,372	80,819	88,226
General and Administrative	2,280	2,663	3,512	3,697	4,660	5,074	5,260	6,075	9,739	12,152	21,069	20,439
Total Stock-Based Compensation	4,147	4,834	4,505	5,890	4,976	5,801	5,406	7,068	16,690	19,376	23,251	27,901
Income from Operations (GAAP)	\$17,555	\$20,441	\$20,535	\$24,745	\$18,750	\$20,596	\$21,290	\$24,229	\$69,380	\$83,276	\$84,865	\$108,886
Income From Operations (ex-Onecharges)	\$17,555	\$20,441	\$20,535	\$24,745	\$18,750	\$20,596	\$21,290	\$24,229	\$69,380	\$83,276	\$84,865	\$108,886
% Y/Y Expense Growth	9%	12%	32%	40%	46%	47%	35%	37%	8%	24%	40%	12%
% Margin	41%	43%	40%	41%	34%	34%	34%	34%	42%	41%	34%	37%
% Y/Y Growth	27%	38%	18%	6%	7%	1%	4%	(2%)	48%	20%	2%	28%
% Q/Q Growth	(25%)	16%	0%	21%	(24%)	10%	3%	14%	--	--	--	--
Net Interest (Income) and Other (Income)	(827)	(93)	(1,128)	(609)	(868)	(98)	(1,184)	(639)	(1,284)	(2,657)	(2,790)	(2,929)
Income Before Taxes (GAAP)	\$18,382	\$20,534	\$21,663	\$25,354	\$19,618	\$20,694	\$22,474	\$24,868	\$70,664	\$85,933	\$87,655	\$111,816
% Effective Tax Rate	9%	11%	87%	10%	15%	15%	15%	15%	12%	30%	15%	15%
Provision / (Benefit) for Income Taxes	1,738	2,197	18,954	2,586	2,943	3,104	3,371	3,730	8,304	25,475	13,148	16,772
GAAP Net Income / (Loss)	\$16,644	\$18,337	\$2,709	\$22,768	\$16,676	\$17,590	\$19,103	\$21,138	\$62,360	\$60,458	\$74,507	\$95,043
% Margin	39%	39%	5%	38%	30%	29%	31%	29%	38%	30%	30%	32%
% Y/Y Growth	35%	36%	(83%)	9%	0%	(4%)	605%	(7%)	60%	(3%)	23%	28%
% Q/Q Growth	(20%)	10%	(85%)	740%	(27%)	5%	9%	11%	--	--	--	--
Weighted Avg. Diluted Shares Outstanding	2,590	2,570	2,572	2,565	2,593	2,573	2,575	2,568	2,608	2,574	2,577	2,579
GAAP EPS	\$6.43	\$7.14	\$1.05	\$8.88	\$6.43	\$6.84	\$7.42	\$8.23	\$23.92	\$23.49	\$28.91	\$36.85
% Y/Y Growth	36%	38%	(83%)	11%	0%	(4%)	604%	(7%)	61%	(2%)	23%	27%
% Q/Q Growth	(20)	11	(85)	743	(28)	6	9	11	--	--	--	--

META Balance Sheet

Meta - Balance Sheet

(\$ in Millions)

	F 2025				F 2026				F 2024A	F 2025A	F 2026E	F 2027E
	Q1 25E	Q2 25A	Q3 25A	Q4 25A	Q1 26E	Q2 26E	Q3 26E	Q4 26E				
Cash & Cash Equivalents	\$28,750	\$12,005	\$10,187	\$35,873	\$18,928	\$14,209	\$8,334	\$4,481	43,889	35,873	\$4,481	\$8,313
Marketable Securities	41,480	35,066	34,261	45,719	45,719	45,719	45,719	45,719	33,926	45,719	\$45,719	\$45,719
Accounts Receivable	14,514	16,561	17,297	19,769	23,432	24,491	26,076	30,119	16,994	19,769	\$30,119	\$35,056
Deferred Income Taxes	0	0	0	0	0	0	0	0	0	0	\$0	\$0
Prepaid Expenses and Other Current Assets	5,483	9,981	11,373	7,361	5,895	6,549	6,804	7,558	5,236	7,361	\$7,558	\$8,056
Current Assets	\$90,227	\$73,613	\$73,118	\$108,722	\$93,975	\$90,968	\$86,933	\$87,877	\$100,045	\$108,722	\$87,877	\$97,145
Property and Equipment	133,567	147,039	160,270	176,400	197,884	221,310	245,175	273,221	121,346	176,400	\$273,221	\$366,977
Long-Term Investments	6,168	21,988	25,074	27,524	27,524	27,524	27,524	27,524	6,070	27,524	\$27,524	\$27,524
Goodwill	0	0	0	0	0	0	0	0	0	0	\$0	\$0
Intangible Assets (incl. Goodwill)	20,654	20,654	21,158	24,534	24,534	24,534	24,534	24,534	20,654	24,534	\$24,534	\$24,534
Long-Term Deferred Income Taxes	0	0	0	0	0	0	0	0	0	0	\$0	\$0
Other Long-Term Assets	29,597	31,450	24,224	28,841	27,704	30,778	31,976	35,729	27,939	28,841	\$35,729	\$38,084
Total Assets	\$280,213	\$294,744	\$303,844	\$366,021	\$371,621	\$395,115	\$416,142	\$448,884	\$276,054	\$366,021	\$448,884	\$554,264
Accounts Payable	\$8,512	\$10,271	\$7,798	\$8,894	\$6,447	\$6,987	\$7,359	\$8,874	7,687	8,894	\$8,874	\$10,736
Platform Partners Payable	0	0	0	0	2,193	2,416	2,505	2,893	0	0	\$2,893	\$3,367
Accrued Expenses & Other Current Liabilities	25,378	27,034	29,160	32,942	36,078	40,082	41,641	48,096	25,909	32,942	\$48,096	\$51,267
Deferred Revenue & Deposits	0	0	0	0	0	0	0	0	0	0	\$0	\$0
Current Portion of Capital Lease Obligations	0	0	0	0	0	0	0	0	0	0	\$0	\$0
Current Portion of Long-Term Debt	0	0	0	0	0	0	0	0	0	0	\$0	\$0
Total Current Liabilities	\$33,890	\$37,305	\$36,958	\$41,836	\$44,717	\$49,485	\$51,505	\$59,863	\$33,596	\$41,836	\$59,863	\$65,370
Long-Term Debt	28,829	28,832	28,834	58,744	58,744	58,744	58,744	58,744	28,826	58,744	\$58,744	\$58,744
Operating Lease Liabilities	18,714	18,751	20,113	22,940	22,940	22,940	22,940	22,940	18,292	22,940	\$22,940	\$22,940
Other Long-Term Liabilities	13,751	14,786	23,873	25,258	12,371	13,744	14,278	16,490	12,703	25,258	\$16,490	\$17,577
Total Liabilities	\$95,184	\$99,674	\$109,778	\$148,778	\$138,772	\$144,912	\$147,467	\$158,037	\$93,417	\$148,778	\$158,037	\$164,631
Convertible Preferred Stock	0	0	0	0	0	0	0	0	0	0	0	0
Common Stock	0	0	0	0	0	0	0	0	0	0	0	0
Common Stock and Additional Paid-In Capital	85,568	88,496	92,330	95,793	112,469	130,058	149,162	170,300	83,228	95,793	170,300	265,343
Retained Earnings (Accumulated Deficit)	101,326	106,345	101,577	121,179	120,109	119,874	119,242	120,277	102,506	121,179	120,277	124,019
Accumulated Other Comprehensive Loss	(1,865)	229	159	271	271	271	271	271	(3,097)	271	271	271
Shareholders' Equity	\$185,029	\$195,070	\$194,066	\$217,243	\$232,849	\$250,203	\$268,675	\$290,847	\$182,637	\$217,243	\$290,847	\$389,633
Liabilities & Shareholders' Equity	\$280,213	\$294,744	\$303,844	\$366,021	\$371,621	\$395,115	\$416,142	\$448,884	\$276,054	\$366,021	\$448,884	\$554,264

META Cash Flow Statement

Meta - Cash Flow Statement

(\$ in Millions)

	F2025				F2026				F2024A	F2025A	F2026E	F2027E
	Q1 25E	Q2 25A	Q3 25A	Q4 25A	Q1 26E	Q2 26E	Q3 26E	Q4 26E				
Net Income	\$16,644	\$18,337	\$2,709	\$22,768	\$16,676	\$17,590	\$19,103	\$21,138	\$62,360	\$60,458	\$74,507	\$95,043
Depreciation	3,900	4,342	4,963	5,411	5,928	6,774	7,445	8,117	15,498	18,616	28,263	42,800
Amortization of Intangible Assets	0	0	0	0	0	0	0	0	0	0	0	0
Stock-Based Compensation	4,147	4,834	5,555	5,890	4,976	5,801	5,406	7,068	16,690	20,426	23,251	27,901
Tax Benefit from Stock Options	0	0	0	0	0	0	0	0	0	0	0	0
Excess Tax Benefit from Stock Options	0	0	0	0	0	0	0	0	0	0	0	0
Deferred Taxes	(993)	(1,170)	19,868	1,033	0	0	0	0	(4,739)	18,738	0	0
(Gain) / Loss on Sale of PP&E	0	0	0	0	0	0	0	0	289	0	0	0
Other / Charges	(231)	175	(945)	(552)	0	0	0	0	180	(1,553)	0	0
Funds From Operations	\$23,467	\$26,518	\$32,150	\$34,550	\$27,580	\$30,164	\$31,954	\$36,323	\$90,278	\$116,685	\$126,020	\$165,745
(Inc.) Dec. in Accounts Receivable	2,804	(1,338)	(807)	(2,475)	(3,663)	(1,059)	(1,586)	(4,043)	(1,486)	(1,816)	(10,350)	(4,937)
(Inc.) Dec. in Prepaid Expenses and Other Assets	360	326	(1,033)	259	1,466	(654)	(255)	(754)	(698)	(88)	(197)	(498)
(Inc.) Dec. in Other Assets	(52)	(190)	33	(272)	1,137	(3,075)	(1,197)	(3,753)	(269)	(481)	(6,888)	(2,355)
Inc. (Dec.) in Accounts Payable	(1,034)	460	(63)	623	(2,447)	540	372	1,514	373	(14)	(20)	1,862
Inc. (Dec.) in Platform Partners Payables	0	0	0	0	2,193	223	89	388	0	0	2,893	474
Inc. (Dec.) in Accrued Expenses and Other Liabilities	(2,231)	(1,107)	455	3,960	3,136	4,004	1,559	6,455	324	1,077	15,154	3,170
Inc. (Dec.) in Deferred Revenue & Deposits	0	0	0	0	0	0	0	0	0	0	0	0
Inc. (Dec.) in Other Liabilities	712	892	(736)	(431)	(12,887)	1,373	535	2,212	2,806	437	(8,768)	1,087
Change in Net Working Capital	\$559	(\$957)	(\$2,151)	\$1,664	(\$11,066)	\$1,353	(\$483)	\$2,021	\$1,050	(\$885)	(\$8,176)	(\$1,197)
Cash Flow from Operations	\$24,026	\$25,561	\$29,999	\$36,214	\$16,514	\$31,517	\$31,470	\$38,343	\$91,328	\$115,800	\$117,845	\$164,548
Purchases of Property & Equipment	(12,941)	(16,538)	(18,829)	(21,383)	(27,412)	(30,200)	(31,309)	(36,163)	█ (37,256)	█ (69,691)	█ (125,083)	█ (136,557)
Purchases of Marketable Securities	(11,763)	(7,746)	(2,840)	(14,580)	0	0	0	0	█ (25,542)	█ (36,929)	█ 0	█ 0
Maturities and Sales of Marketable Securities	4,784	14,273	4,704	3,113	0	0	0	0	█ 15,789	█ 26,874	█ 0	█ 0
Acquisitions, Net of Cash Acquired	(90)	(61)	(753)	(3,415)	0	0	0	0	█ (270)	█ (4,319)	█ 0	█ 0
Proceeds from Sales of PP&E	0	0	0	0	0	0	0	0	█ 0	█ 0	█ 0	█ 0
Other	0	(15,886)	(4,130)	2,078	0	0	0	0	█ 129	█ (17,938)	█ 0	█ 0
Net Cash Used in Investing Activities	(\$20,010)	(\$25,958)	(\$21,848)	(\$34,187)	(\$27,412)	(\$30,200)	(\$31,309)	(\$36,163)	(\$47,150)	(\$102,003)	(\$125,083)	(\$136,557)
Debt Issuance / (Repayment)	0	0	0	29,906	0	0	0	0	█ 10,432	█ 29,906	█ 0	█ 0
Proceeds from / (Repurchase of) Stock	(12,754)	(10,167)	(3,327)	0	(4,750)	(4,750)	(4,750)	(4,750)	█ (30,125)	█ (26,248)	█ (19,000)	█ (19,000)
Proceeds from Exercise of Stock Options	0	0	0	0	0	0	0	0	█ 0	█ 0	█ 0	█ 0
Common Stock Cash Dividends	(1,329)	(1,327)	(1,330)	(1,338)	(1,296)	(1,286)	(1,287)	(1,284)	█ (5,071)	█ (5,324)	█ (5,154)	█ (5,159)
Principal Payments on Capital Lease Obligations	(751)	(474)	(545)	(754)	0	0	0	0	█ (1,025)	█ (2,524)	█ 0	█ 0
Other	(4,661)	(4,009)	(4,845)	(2,665)	0	0	0	0	█ (14,992)	█ (16,180)	█ 0	█ 0
Net Cash Provided by Financing Activities	(\$19,495)	(\$15,977)	(\$10,047)	\$25,149	(\$6,046)	(\$6,036)	(\$6,037)	(\$6,034)	(\$40,781)	(\$20,370)	(\$24,154)	(\$24,159)
Effect of Exchange Rate Changes	112	131	9	(17)	0	0	0	0	█ (786)	█ 235	█ 0	█ 0
Inc. (Dec.) in Cash and Cash Equivalents	(\$15,367)	(\$16,243)	(\$1,887)	\$27,159	(\$16,945)	(\$4,719)	(\$5,876)	(\$3,853)	\$2,611	(\$6,338)	(\$31,392)	\$3,832
Beginning Cash and Cash Equivalents	45,438	30,071	13,828	11,941	35,873	18,928	14,209	8,334	41,862	43,889	35,873	4,481
Ending Cash and Cash Equivalents	\$30,071	\$13,828	\$11,941	\$39,100	\$18,928	\$14,209	\$8,334	\$4,481	\$44,473	\$37,551	\$4,481	\$8,313

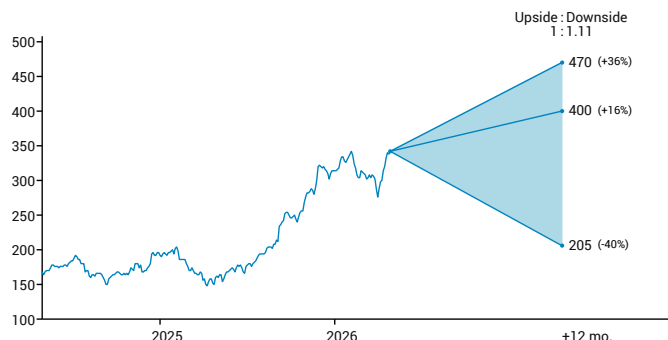
Jefferies

The Long View: Alphabet, Inc

Investment Thesis

- In our view, the core search business is still attracting incremental ad dollars in the shift to digital and mobile.
- YouTube is the best-positioned platform to take advantage of a sizable online video opportunity.
- Google Cloud could be the next break-out play for shares.
- Call options in place for both the near and longer term: GCP, AI, Google Home, Pixel, YouTube TV, Waymo.

Risk/Reward - 12 Month View



Base Case, \$400, +16%

- Continued search strength, aided by increasing contribution from mobile, YouTube, AI and international expansion
- Net revenue growth of 13% in 2026
- Op margin ~39%
- EBITDA in 5-8 qtrs: \$258bn; Target Multiple: 19x EV/EBITDA our forward NTM estimates, which is above the 12.5x 10-year historical average given its superior fundamentals relative to ad peers; Price Target: \$400

Upside Scenario, \$470, +36%

- Additional contribution from Google Cloud Platform, YouTube TV, AI, and new hardware initiatives
- FY26 revenue growth in mid-teens+ %
- Op margin expands to 40%+
- Multiple expansion driven by success with new initiatives, call options around autonomous driving and AI
- EBITDA in 5-8 qtrs: \$284bn; Target Multiple: 20x; Price Target: \$470

Downside Scenario, \$205, -40%

- Core search business begins to slow, impacts from new initiatives are mostly muted
- Revenue growth slows to low teens to HSD % in FY26
- Op margin declines to mid-30s %, driven by rising TAC, continued investment spend in new initiatives
- Multiple contraction as revenue growth slows and costs rise
- EBITDA in 5-8 qtrs: \$245bn; Target Multiple 10x; Price Target: \$205

Sustainability Matters

Top Material Issue(s): 1) Customer Privacy: Risk management for personal information that the company is in possession of. This is a top issue for social media companies, like GOOGL, that collect and rely on user data to provide targeted advertisements. Regulators are increasingly focused on the depth and form of user data that are collected and used to target advertisements. **2) Data Security:** Risks associated with the collection, use, retention, and disposal of confidential information. Internet companies like GOOGL have amassed large amounts of user data that could be used in harmful ways if exposed.

Company Target(s): 1) By 2030, aims to achieve net-zero emissions across all operations and value chain, including consumer hardware products, and become net water positive. **2)** By 2030, become the first major company to run on carbon-free energy 24/7, 365 days a year.

Qs to Mgmt: 1) What is GOOGL investing in to protect customer data? **2)** What is GOOGL doing to ensure it meets its 2030 goal of net-zero emissions while pursuing its AI initiatives?

Link to Sector Note: [ESG Sector Deep Dive: Internet Media & Services](#)

Catalysts

- Rising importance of YouTube in a video-first world
- Emergence of Google Cloud as a formidable competitor in the public cloud
- Platform positioning of Google Assistant and AI across multiple products, providing a coherent long-term strategy to defend dominant position in core search
- Increasing disclosures for YouTube, Google Cloud, Waymo
- Ad industry data points on shape of spend trends due to macro cycles

Financials:Alphabet, Inc

Estimate changes

USD	2024A	2025A	2026E	2027E
Cons. Rev.	295,414.0	340,601.0	391,016.0	444,083.0
EPS	8.04	10.81	11.97 ↑ +1%	13.77 ↑ +1%
Previous			11.80	13.59
Cons. EPS	8.02	10.62	11.24	12.93
Rev. (MM)	295,118.0	342,910.0	405,481.9 <1%	470,996.1 <1%
Previous			401,788.4	466,833.1
Q1	67,593.0	76,486.0	90,901.7 <1%	-
Previous			90,573.8	
Q2	71,355.0	81,723.0	97,101.4 <1%	-
Previous			96,640.0	
Q3	74,549.0	87,470.0	102,972.8 <1%	-
Previous			102,196.8	
Q4	81,621.0	97,231.0	114,506.0 ↑ +2%	-
Previous			112,377.8	

Valuation metrics

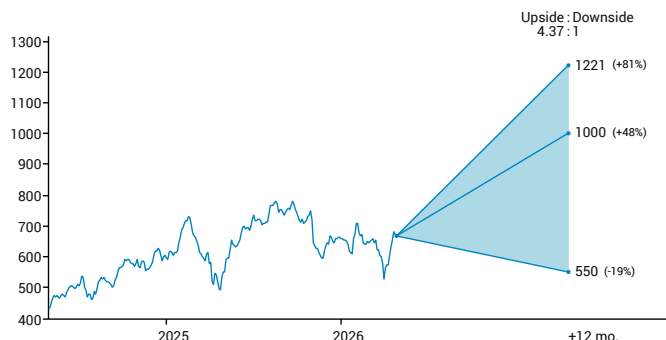
USD	2024A	2025A	2026E	2027E
EV/Rev	14.0x	12.0x	10.2x	8.8x
P/Rev	14.3x	12.3x	10.4x	8.9x
FY P/E	42.8x	31.9x	28.8x	25.0x

The Long View: Meta Platforms

Investment Thesis

- META connects 3.5B+ people around the world to 10MM+ advertisers with best-in-class data and targeting capabilities delivering high-quality and relevant advertising to a loyal user base.
- META will continue to innovate on the advertising front, driving higher monetization across its various platforms.
- High-ROI eCommerce advertising products on Facebook and Instagram increase ad spend across the platform.
- New AI products could drive improved performance for advertisers.

Risk/Reward - 12 Month View



Base Case, \$1000, +48%

- New ad dollars are pouring into mobile ad campaigns, and META is the primary beneficiary of that trend
- Deep engagement at Instagram, Messenger, and WhatsApp suggests robust growth going forward as monetization ramps
- Facebook Reality Labs investments will be heavy and should weigh on near-term profit margins
- 2027E EPS: \$36.85; Target Multiple: ~27x; PT \$1,000

Upside Scenario, \$1221, +81%

- Leadership in virtual reality and the Metaverse position META well for the next decade of growth
- Messenger, and WhatsApp monetization occurs faster than expected
- Instagram's new features (ex: IG Reels) make the service stickier and drive new ad units and additional ad budgets
- Deepening ties to eCommerce and bottom-funnel ads
- 2027E EPS: \$42.48; Target Multiple: ~29x; PT \$1,221

Downside Scenario, \$550, -19%

- Expenses ramp faster than expected due to AI Metaverse investments
- Ad-targeting headwinds due to regulation (i.e. GDPR, CCPA) and platform changes (Google Chrome, iOS)
- Users churn off to other social services
- 2027E EPS: \$27.53; Target Multiple: ~20x; PT \$550

Sustainability Matters

Top Material Issue(s): **1) Customer Privacy:** Risk management for personal information they are in possession of. This is a top issue for social media companies like META, which collect and rely on user data to provide targeted advertisements. **2) Data Security:** Risks associated with collection, use, retention, and disposal of confidential information. Internet companies like META have amassed large amounts of user data which could be used in harmful ways if exposed.

Company Target(s): **1)** Net-zero emissions across value chain and becoming water positive by 2030. **2)** 50% reduction in carbon impact of workplace operations by '30 on a per-headcount basis from a 2019 base year. **3)** Increasing the representation of all people of color in leadership positions in the US by 30% by '25.

Qs to Mgmt: **1)** What is META doing to ensure it meets its 2030 goal of net-zero emissions while pursuing its AI initiatives? **2)** What types of user data does META collect and use to provide targeted advertisements? **3)** What processes does META have to protect its users' data?

Link to Sector Note: [ESG Sector Deep Dive: Internet Media & Services](#)

Catalysts

- High-ROI eCommerce ad products scale across the platform
- WhatsApp/Messenger monetization
- Reels becomes a more material revenue driver
- Announcement around Metaverse investments

Financials:Meta Platforms

Estimate changes

USD	2024A	2025A	2026E	2027E
Cons. Rev.	-	199,452.0	236,125.0	274,824.0
Cons. EPS-GAAP	-	23.09	29.59	33.25
EPS-GAAP	23.92	23.49	28.91	36.85
Rev. (MM)	164,500.0	200,965.0	250,167.0	294,086.0
Q1	36,455.0	42,314.0	54,825.0	-
Q2	39,071.0	47,516.0	60,399.0	-
Q3	40,589.0	51,242.0	62,618.0	-
Q4	48,385.0	59,893.0	72,325.0	-

Valuation metrics

USD	2024A	2025A	2026E	2027E
P/Rev	10.5x	8.6x	6.9x	5.9x
FY P/E GAAP	28.2x	28.7x	23.3x	18.3x
EV/Rev	10.3x	8.4x	6.8x	5.7x

Company Description

Alphabet, Inc

Google is the world's leading search engine and one of the top Internet destinations online, delivering relevant advertising on its own site and on its network of third party websites.

Meta Platforms

Meta Platforms operates the world's largest social network. The company builds tools that enable users to connect and communicate with each other; enables developers to build social applications on Facebook or to integrate their Websites with Facebook; and offers products that enable advertisers to engage with users. The company was founded in 2004 and is headquartered in Menlo Park, California.

Company Valuation/Risks

Alphabet, Inc

Our \$400 PT is based on 19x EV/EBITDA our forward NTM estimates, which is above the 12.5x 10-year historical average given its superior fundamentals relative to ad peers. Risks include impact from macro, regulatory overhang, margin pressure from ongoing investments, and impacts from shift toward generative AI, mobile, in-app, and voice-to-core search.

Meta Platforms

Our price target of \$1,000 is DCF-derived and implies 27x 2027E EPS. Risks include declines in user engagement, advertiser churn, and regulatory risk.

Amazon.com, Inc

Valuation: Our \$300 PT is based on ~15x 2027E EV/EBITDA. **Risks:** Ongoing need to invest keeps a lid on margin expansion; regulatory pressure leads to increasing costs; macroeconomic headwinds cause top-line growth to slow.

Broadcom

Price Target: \$500 implies 20x our CY28E EPS of \$24.91.

Risks:

- Slower AI spending by hyper-scalers as buildouts are digested.
- Design decisions by NVDA that negatively affect switching share and/or attach rate.
- Continued correction and slower recovery in non-AI businesses.
- Failure to implement VMWare synergies and persistent heightened opex.

Microsoft Corporation

Our Price Target of \$675 is based on a DCF. Key risks include the PC cycle and risks related to revenues and margins as MSFT transitions to the Cloud.

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I, Brent Thill, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

Recommendation Published	April 26, 2026 13:02 P.M.
Recommendation Distributed	April 26, 2026 13:10 P.M.

Company Specific Disclosures

James Heaney has a long position in Facebook.

Rayyan Matraji owns shares of Amazon.com common stock.

Steven DeSanctis owns shares of Amazon.com common shares.

Within the past twelve months, Jefferies Financial Group Inc. and/or its affiliates received compensation for products and services other than investment banking services from non-investment banking, securities related compensation for client services it provided to Microsoft Corporation.

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Underperform - Describes securities that we expect to provide a total return (price appreciation plus yield) of minus 10% or less within a 12-month period.

The expected total return (price appreciation plus yield) for Buy rated securities with an average security price consistently below \$10 is 20% or more within a 12-month period as these companies are typically more volatile than the overall stock market. For Hold rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is plus or minus 20% within a 12-month period. For Underperform rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is minus 20% or less within a 12-month period.

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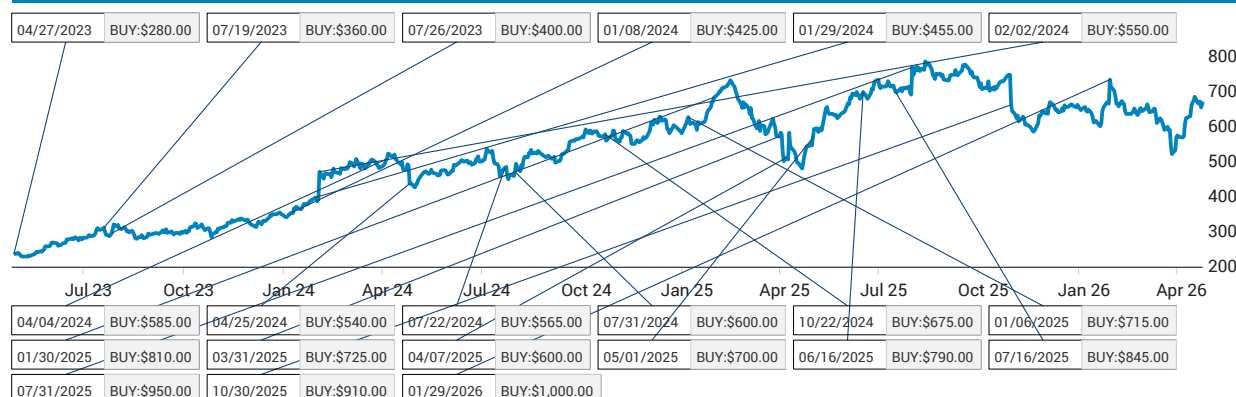
Other Companies Mentioned in This Report

- Alphabet, Inc. (GOOGL: \$344.40, BUY)
- Amazon.com, Inc (AMZN: \$263.99, BUY)
- Broadcom (AVGO: \$422.76, BUY)
- Meta Platforms, Inc. (META: \$675.03, BUY)
- Microsoft Corporation (MSFT: \$424.62, BUY)

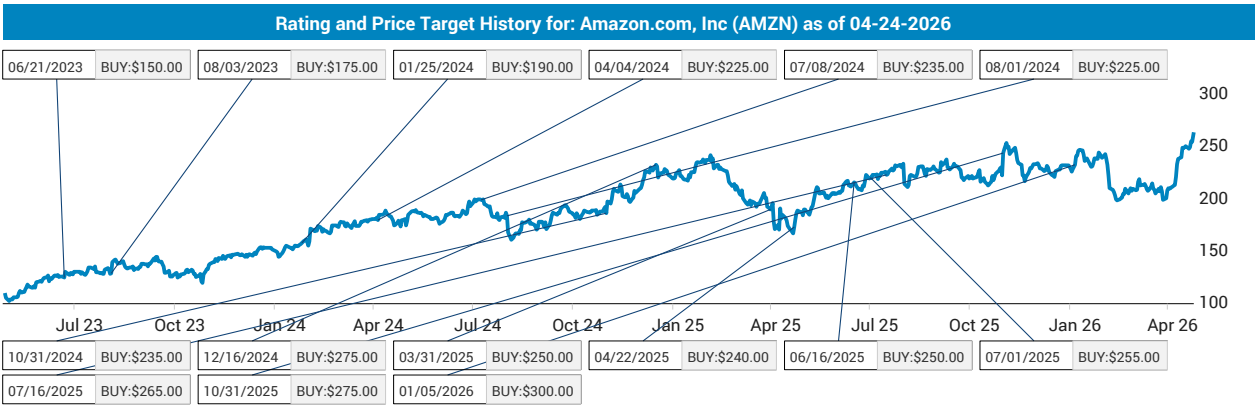
Rating and Price Target History for: Alphabet, Inc. (GOOGL) as of 04-24-2026



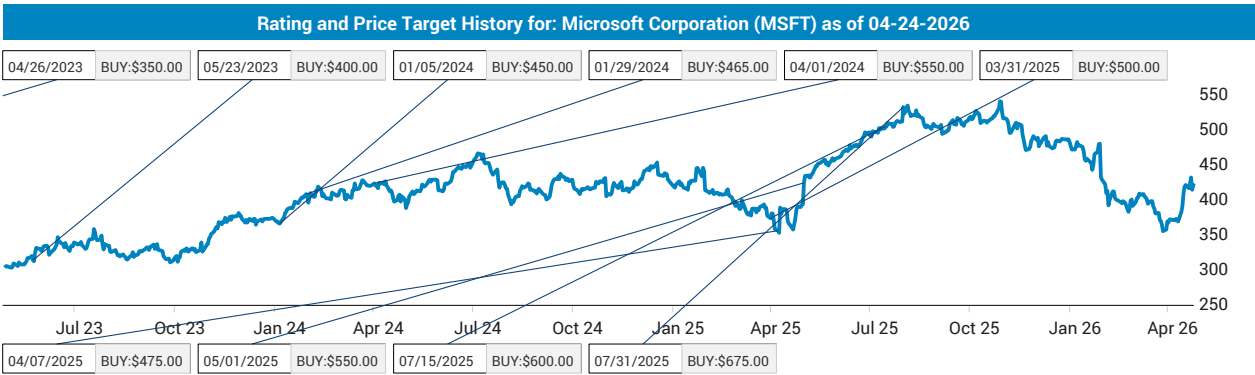
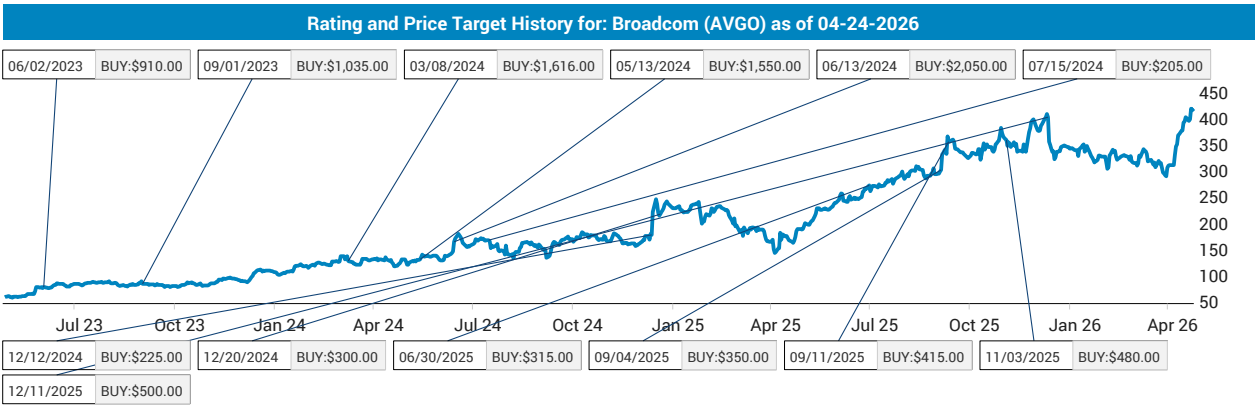
Rating and Price Target History for: Meta Platforms, Inc. (META) as of 04-24-2026



James Heaney has a long position in Facebook.



Steven DeSanctis owns shares of Amazon.com common shares.



Notes: Each box in the Rating and Price Target History chart above represents actions over the past three years in which an analyst initiated on a company, made a change to a rating or price target of a company or discontinued coverage of a company.

Legend:

I: Initiating Coverage

D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

Distribution of Ratings

			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2181	61.94%	368	16.87%	110	5.04%
HOLD	1182	33.57%	104	8.80%	17	1.44%
UNDERPERFORM	158	4.49%	1	0.63%	1	0.63%

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Other Important Disclosures

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